NMLS SAFE MLO

Full-Length Practice Exam Phase 1 — Exam 2

120 Questions · SAFE Exam Difficulty Level

Answers & Explanations Included · Exam Date: May 22, 2026

TOPIC AREA	WEIGHT	~QUESTIONS
Federal Laws & Regulations	23%	~28
General Mortgage Knowledge	23%	~28
Loan Origination Activities	25%	~30
Ethics	16%	~19
SAFE Act / NMLS / State Law	13%	~15
TOTAL	**100%**	**120**

INSTRUCTIONS: This exam mirrors actual NMLS SAFE test difficulty. Watch for EXCEPT / NOT / MOST / BEST in question stems — they change the answer. Time: 3 hours. Passing = 75% (90+ correct). Record your answers in the grid below, then check the Answer Key starting after Question 120.

ANSWER GRID — Circle Your Answer				
1. A B C D	2. A B C D	3. A B C D	4. A B C D	5. A B C D
6. A B C D	7. A B C D	8. A B C D	9. A B C D	10. A B C D
11. A B C D	12. A B C D	13. A B C D	14. A B C D	15. A B C D
16. A B C D	17. A B C D	18. A B C D	19. A B C D	20. A B C D
21. A B C D	22. A B C D	23. A B C D	24. A B C D	25. A B C D
26. A B C D	27. A B C D	28. A B C D	29. A B C D	30. A B C D
31. A B C D	32. A B C D	33. A B C D	34. A B C D	35. A B C D
36. A B C D	37. A B C D	38. A B C D	39. A B C D	40. A B C D
41. A B C D	42. A B C D	43. A B C D	44. A B C D	45. A B C D
46. A B C D	47. A B C D	48. A B C D	49. A B C D	50. A B C D
51. A B C D	52. A B C D	53. A B C D	54. A B C D	55. A B C D
56. A B C D	57. A B C D	58. A B C D	59. A B C D	60. A B C D
61. A B C D	62. A B C D	63. A B C D	64. A B C D	65. A B C D

66. A B C D	67. A B C D	68. A B C D	69. A B C D	70. A B C D
71. A B C D	72. A B C D	73. A B C D	74. A B C D	75. A B C D
76. A B C D	77. A B C D	78. A B C D	79. A B C D	80. A B C D
81. A B C D	82. A B C D	83. A B C D	84. A B C D	85. A B C D
86. A B C D	87. A B C D	88. A B C D	89. A B C D	90. A B C D
91. A B C D	92. A B C D	93. A B C D	94. A B C D	95. A B C D
96. A B C D	97. A B C D	98. A B C D	99. A B C D	100. A B C D
101. A B C D	102. A B C D	103. A B C D	104. A B C D	105. A B C D
106. A B C D	107. A B C D	108. A B C D	109. A B C D	110. A B C D
111. A B C D	112. A B C D	113. A B C D	114. A B C D	115. A B C D
116. A B C D	117. A B C D	118. A B C D	119. A B C D	120. A B C D

EXAM Phase 1 — Exam 2 — QUESTIONS (1–120)

■■ Federal Laws ■■

[Federal Laws — TRID]

1. A borrower submits a loan application on Monday providing all six required TRID elements. The lender must deliver the Loan Estimate no later than:

A) Tuesday (next business day)
B) Wednesday (within 2 business days)
C) Thursday (within 3 business days)
D) The following Monday (7 business days)

[Federal Laws — TRID]

2. A borrower receives a Loan Estimate but changes their mind about the loan program. What must happen before the lender can issue a revised Loan Estimate with higher fees?

A) The lender must wait 7 business days before issuing the revision
B) The borrower must submit a written change request — a valid changed circumstance
C) The underwriter must approve the new loan program first
D) Nothing — lenders can revise the LE at any time for any reason

[Federal Laws — TRID]

3. A lender issues a Loan Estimate on January 5th. The borrower does not express Intent to Proceed until January 20th. The Loan Estimate expires after how many business days?

A) 3 business days
B) 7 business days
C) 10 business days
D) The LE does not expire

[Federal Laws — TRID]

4. A borrower receives a Closing Disclosure on Monday. What is the EARLIEST day the loan can close?

A) Tuesday
B) Wednesday
C) Thursday
D) Friday

[Federal Laws — TRID]

5. A lender charges a $500 appraisal fee on the Loan Estimate. At closing, the appraisal actually cost $600. This $100 increase MOST LIKELY falls under which TRID tolerance category?

A) Zero tolerance — lender must cure the $100 increase
B) 10% aggregate tolerance — may be acceptable within limits
C) No tolerance limit — borrower must pay the additional $100
D) Lender's discretion — the lender decides whether to cure

[Federal Laws — TRID]

6. A borrower applies for a loan on March 1st. The lender issues the Loan Estimate on March 3rd (3 business days later). The EARLIEST the loan can close is:

A) March 8th
B) March 10th
C) March 12th
D) March 15th

[Federal Laws — TRID]

7. A flood zone determination reveals the property is in a FEMA Special Flood Hazard Area, requiring mandatory flood insurance the borrower was not aware of. This is BEST categorized as a TRID changed circumstance because:

A) It is a lender error in the original estimate
B) It constitutes new information about the property discovered after the LE was issued
C) The borrower requested the change
D) The rate lock has expired

[Federal Laws — TRID]

8. Transfer taxes on a $400,000 purchase increase from the LE estimate of $4,000 to $4,200 at closing. Under TRID, the lender:

A) Must cure the $200 increase at closing
B) May pass the $200 increase to the borrower — it's within tolerance
C) Must issue a new Loan Estimate
D) May split the $200 increase equally with the borrower

[Federal Laws — TRID]

9. A borrower receives the Loan Estimate by mail on March 1st. What is the EARLIEST date the Loan Estimate is deemed received?

A) March 1st (date mailed)
B) March 2nd (1 business day after mailing)
C) March 4th (3 business days after mailing)
D) March 8th (7 business days after mailing)

[Federal Laws — TRID]

10. Which scenario represents a VALID reason to waive the 3-business-day CD waiting period?

A) The borrower needs to close quickly to secure a good interest rate
B) The borrower faces foreclosure on another property and needs funds immediately
C) The seller is threatening to cancel if closing is delayed by even one day
D) The borrower has a personal financial emergency requiring immediate access to loan funds

[Federal Laws — RESPA]

11. A title company invites all local real estate agents to a free dinner valued at $200 per person and discusses their services. This is MOST LIKELY:

A) A permissible marketing event under RESPA
B) A RESPA Section 8 violation if the dinner is conditioned on referrals
C) A RESPA Section 9 violation
D) A TILA advertising violation

[Federal Laws — RESPA]

12. A mortgage broker and a title company have a formal agreement to refer business to each other. Neither party receives cash, but the volume of referrals is roughly equal. This is MOST LIKELY:

A) A permissible reciprocal referral arrangement under RESPA
B) A RESPA Section 8 violation — the exchange of referrals constitutes 'things of value'
C) Permissible only if disclosed in the AfBA disclosure
D) Permissible only if both companies are under common ownership

[Federal Laws — RESPA]

13. A borrower sends a QWR questioning a payment posting error on their mortgage account. The servicer must acknowledge the QWR by:

A) The next business day
B) Within 5 business days
C) Within 10 business days
D) Within 30 calendar days

[Federal Laws — RESPA]

14. A homebuilder offers buyers a $5,000 incentive to use the builder's preferred mortgage lender. The preferred lender pays the builder $200 for each closed loan. Which statement is MOST ACCURATE?

A) The $5,000 incentive is permissible if disclosed; the $200 payment is a RESPA Section 8 violation
B) Both the $5,000 incentive and $200 payment are permissible marketing arrangements
C) The $5,000 incentive is a RESPA violation; the $200 payment is permissible
D) Both are permissible if disclosed on the Closing Disclosure

[Federal Laws — RESPA]

15. Under RESPA's escrow account rules, if a year-end escrow analysis shows a shortage of $300, the servicer may:

A) Require immediate repayment of the full $300
B) Allow the borrower to spread the shortage repayment over 12 months
C) Retain the shortage and not adjust the monthly payment
D) Immediately foreclose for escrow default

[Federal Laws — RESPA]

16. A seller insists that the buyer use Seller's Title Company as a condition of the sale. The buyer's agent advises the buyer this may be a RESPA violation. Which RESPA section is at issue?

A) RESPA Section 6 — Servicer obligations
B) RESPA Section 8 — Anti-kickback
C) RESPA Section 9 — Title insurance
D) RESPA Section 10 — Escrow accounts

[Federal Laws — RESPA]

17. A mortgage company owns 30% of a title company. An MLO at the mortgage company refers every borrower to the title company without providing any AfBA disclosure. This is:

A) Permissible because the ownership interest is less than 50%
B) Permissible if the referrals are in the borrower's best interest
C) A RESPA Section 8 violation for failure to provide the AfBA disclosure
D) Permissible because the referral is not a direct cash payment

[Federal Laws — RESPA]

18. Which of the following does NOT need to be reported to RESPA authorities?

A) A title company paying a real estate agent $300 per referral
B) A lender overcharging escrow by $1,500
C) An MLO disclosing an affiliated business arrangement before referring a borrower
D) A lender charging undisclosed junk fees

[Federal Laws — RESPA]

19. A borrower submits a QWR on January 5th. The servicer sends an acknowledgment on January 8th (3 business days later). Is the servicer in compliance with RESPA?

A) Yes — RESPA requires acknowledgment within 5 business days
B) No — RESPA requires same-day acknowledgment
C) No — RESPA requires acknowledgment within 3 business days
D) Yes — RESPA requires acknowledgment within 10 business days

[Federal Laws — RESPA]

20. A 'controlled business arrangement' is the older term for what RESPA now calls:

A) A kickback arrangement
B) An affiliated business arrangement (AfBA)
C) A yield spread premium arrangement
D) A net branch arrangement

[Federal Laws — TILA]

21. A borrower closes a HELOC on Wednesday. The rescission period expires at midnight on:

A) Wednesday
B) Thursday
C) Friday
D) Saturday

[Federal Laws — TILA]

22. A lender fails to provide the Notice of Right to Rescind on a refinance. The borrower later discovers this omission 2 years after closing. Under TILA, the borrower:

A) Has no recourse — the 3-day rescission period has passed
B) May rescind the loan since the extended 3-year rescission period applies
C) Must file a complaint with the CFPB within 30 days
D) Has 1 year to rescind from the date of discovery

[Federal Laws — TILA]

23. A VA loan used to purchase a veteran's primary residence closes on Friday. Does the veteran have a TILA right of rescission?

A) Yes — the 3-day rescission period runs through Monday
B) Yes — but only on VA loans with rates above APOR + 6.5%
C) No — purchase money mortgages are exempt from TILA rescission
D) No — VA loans are fully exempt from TILA

[Federal Laws — TILA]

24. An ARM loan's APR disclosed on the Loan Estimate is 6.50%. At closing, the actual APR is 6.70%. For this irregular loan, does a new Closing Disclosure and waiting period apply?

A) Yes — any APR increase triggers a new CD and waiting period
B) Yes — the 0.20% increase exceeds the 1/4% (0.25%) tolerance for irregular loans
C) No — the 0.20% increase is within the 1/4% (0.25%) tolerance for irregular loans
D) No — ARM loans are exempt from APR tolerance requirements

[Federal Laws — TILA]

25. A newspaper ad for a mortgage reads: 'Monthly payments as low as $799!' Under TILA's advertising trigger terms, this ad MUST also disclose:

A) Only the APR
B) The lender's name and NMLS number
C) The APR, loan term, and payment schedule
D) The interest rate only

[Federal Laws — TILA]

26. Under TILA, which of the following borrowers has the RIGHT OF RESCISSION on their transaction?

A) A borrower purchasing their first home with an FHA loan
B) A borrower refinancing their primary residence with a conventional loan
C) A borrower purchasing a vacation home with a VA loan
D) A borrower taking a business loan secured by their home

[Federal Laws — TILA]

27. TILA requires that all mortgage advertisements that are 'misleading' avoid which common practice?

A) Showing only the teaser rate without indicating it is an adjustable rate that will increase
B) Stating the loan amount in the advertisement
C) Mentioning FHA or VA loan types
D) Advertising in languages other than English

[Federal Laws — TILA]

28. A lender discloses a Finance Charge of $95,000 on a TILA disclosure. The actual Finance Charge is $95,200. For this fixed-rate loan, which statement is MOST ACCURATE?

A) This is an accurate disclosure — no cure needed
B) This understates the Finance Charge by $200, violating TILA because it exceeds the 1/8% APR tolerance
C) The APR tolerance rules apply to APR, not the Finance Charge dollar amount
D) TILA has a $100 tolerance for Finance Charge accuracy

[Federal Laws — ECOA]

29. A lender denies a 65-year-old borrower's loan application, noting internally that 'at his age, the 30-year loan may outlive him.' The stated denial reason is 'insufficient income.' Which ECOA violation MOST LIKELY occurred?

A) The stated denial reason is insufficient — age-based denial requires different paperwork
B) The lender discriminated based on age — an ECOA protected class — and gave a pretextual denial reason
C) No violation occurred — life expectancy is a legitimate underwriting consideration
D) The lender should have offered a 15-year loan instead

[Federal Laws — ECOA]

30. A married woman applies for a mortgage in her own name with only her income. The lender requires her husband to co-sign even though her income alone qualifies. This MOST LIKELY violates ECOA because:

A) Married women have absolute right to credit without spousal involvement
B) The lender discriminated based on marital status by requiring a co-signer without credit justification
C) The lender should have required both spouses to apply jointly
D) The husband's credit may be worse than the wife's

[Federal Laws — ECOA]

31. An ECOA adverse action notice says the loan was denied due to 'failure to meet our credit standards.' Under ECOA, this is:

A) Acceptable — lenders may use general denial language
B) A violation — ECOA requires specific denial reasons
C) Acceptable if the notice includes the borrower's credit score
D) A violation only if the borrower is a member of a protected class

[Federal Laws — ECOA]

32. A borrower applies for a mortgage and is told an appraisal has been ordered. The borrower has the right to receive a copy of the appraisal:

A) Only if the loan is approved
B) Promptly, and no later than 3 business days before consummation
C) Only at closing
D) Only if the borrower requests it in writing

[Federal Laws — ECOA]

33. A lender has a policy of requiring borrowers to have been employed in the same job for 2 years. A recent immigrant who has been employed for 18 months is denied. Could this constitute ECOA discrimination?

A) No — employment stability is always a legitimate underwriting factor
B) Possibly — if the policy disproportionately affects national origin applicants (disparate impact)
C) No — ECOA does not cover employment history decisions
D) Yes — ECOA prohibits all employment history requirements

[Federal Laws — ECOA]

34. Under ECOA, public assistance income MUST be:

A) Excluded from income calculations as it is not earned income
B) Discounted by 25% to account for potential program changes
C) Considered the same as any other income if it is verifiable and likely to continue
D) Used only as a compensating factor, not as primary qualifying income

[Federal Laws — ECOA]

35. A lender's policy states that applicants must be U.S. citizens to receive a mortgage. Under ECOA, this policy:

A) Is permissible — citizenship requirements are always legal lending criteria
B) May violate ECOA's national origin protections if it has disparate impact on protected classes
C) Is required by federal law for GSE-eligible loans
D) Is permissible only for FHA loans

[Federal Laws — ECOA]

36. A lender approves a loan application but offers a higher interest rate than applied for, based on factors that correlate with race. Under ECOA, this counter-offer:

A) Is permissible — lenders can price loans based on any business factor
B) Is an adverse action requiring an adverse action notice if not accepted
C) Is not subject to ECOA since the loan was approved
D) Is permissible as long as the higher rate is disclosed on the LE

[Federal Laws — ECOA]

37. Under ECOA, a creditor must notify an applicant within 30 days when credit is denied. This 30-day clock runs from:

A) The date the application was received
B) The date the completed application was received
C) The date the creditor makes the credit decision
D) The date the credit report was pulled

[Federal Laws — ECOA]

38. A borrower's application is approved, but the lender takes 45 days to notify the borrower. Under ECOA:

A) This is a violation — approval notification must also occur within 30 days
B) No violation — the 30-day rule applies only to adverse actions
C) No violation — ECOA does not specify a time limit for approval notifications
D) A violation — the borrower can sue for $10,000 statutory damages

[Federal Laws — Fair Housing]

39. A landlord tells a family with three children that the apartment has 'only one bedroom available and it wouldn't be suitable for your family.' The apartment actually has two available units, including a 3-bedroom. This is MOST LIKELY:

A) Permissible — the landlord was helping the family find suitable housing
B) A familial status violation under the Fair Housing Act
C) A zoning violation, not a fair housing issue
D) Permissible if the landlord believes the one-bedroom is the best fit

[Federal Laws — Fair Housing]

40. A lender's underwriting model gives a geographic area a lower score, resulting in higher denial rates in predominantly minority zip codes. The lender has never consciously discriminated. This MOST LIKELY describes:

A) Intentional disparate treatment discrimination
B) Disparate impact discrimination
C) Steering
D) Blockbusting

[Federal Laws — Fair Housing]

41. An MLO who tells a Black homebuyer 'that neighborhood is really for people like you' is committing:

A) Redlining
B) Blockbusting
C) Racial steering
D) Disparate impact discrimination

[Federal Laws — Fair Housing]

42. Which of the following properties is EXEMPT from the Fair Housing Act's prohibition on discrimination based on familial status?

A) A 50-unit apartment complex with 2 units reserved for families with children
B) A retirement community where 80% of units are occupied by at least one person 55 or older
C) Any property with fewer than 4 rental units
D) An apartment complex that has been renovated for accessibility

[Federal Laws — Fair Housing]

43. A real estate agent systematically shows minority buyers homes only in predominantly minority neighborhoods and shows white buyers homes only in predominantly white neighborhoods. This violates the Fair Housing Act as:

A) Redlining
B) Blockbusting
C) Racial steering
D) Disparate impact

[Federal Laws — Fair Housing]

44. The Fair Housing Act requires lenders to:

A) Make loans in all census tracts regardless of risk factors
B) Not discriminate in the terms, conditions, or availability of credit based on the seven protected classes
C) Offer the same loan products to all borrowers regardless of creditworthiness
D) Post fair housing posters in all branch lobbies only

[Federal Laws — HOEPA]

45. A subordinate lien loan has an APR of 12% when the APOR is 3%. Does this loan meet HOEPA's APR trigger?

A) No — the APR threshold for subordinate liens is APOR + 10%
B) Yes — 12% exceeds APOR + 8.5% (3% + 8.5% = 11.5%)
C) No — HOEPA's APR threshold only applies to first-lien loans
D) Yes — any loan with an APR above 10% is a HOEPA high-cost loan

[Federal Laws — HOEPA]

46. A high-cost loan has a prepayment penalty clause that allows the borrower to prepay after 5 years without penalty. Under HOEPA, this clause is:

A) Permissible — prepayment penalties are allowed after 5 years on HOEPA loans
B) Prohibited — prepayment penalties are banned at any time on HOEPA high-cost loans
C) Permissible — HOEPA only prohibits balloon payments, not prepayment penalties
D) Permissible only if the penalty does not exceed 2% of the amount prepaid

[Federal Laws — HOEPA]

47. A borrower receives a HOEPA-covered loan. Before the loan can be made, the borrower must receive counseling from a HUD-approved agency. When must this counseling occur?

A) Within 3 business days after closing
B) Before the loan application is submitted
C) Before the loan is made (consummation)
D) Within 30 days of receiving the Loan Estimate

[Federal Laws — HOEPA]

48. Which of the following IS a permitted feature on a HOEPA high-cost loan?

A) Negative amortization
B) Balloon payment maturing in 3 years
C) A fixed 30-year term with level monthly payments
D) A prepayment penalty expiring after year 3

[Federal Laws — HOEPA]

49. A $15,000 home improvement loan has points and fees of $900. Under HOEPA's points-and-fees test, is this a high-cost loan?

A) No — $900 is below the 5% threshold for all loans
B) Yes — $900 exceeds the lesser of 8% of the loan amount or $1,000 for loans under $20,000
C) No — HOEPA does not apply to home improvement loans

D) Yes — any home improvement loan with fees over $500 is a HOEPA high-cost loan

[Federal Laws — HOEPA]

50. Under HOEPA, 'loan flipping' is prohibited when a lender refinances a borrower's existing high-cost loan without:

A) Reducing the interest rate by at least 1%

B) Providing tangible net benefit to the borrower

C) Obtaining court approval

D) Providing a new home appraisal

[Federal Laws — HMDA]

51. A HMDA-reportable lender denies an application for a home purchase loan. Under HMDA, the lender must report:

A) Only approved loans — denied applications are not reported

B) The denial and the specific reasons for denial

C) The denial but not the reasons

D) Nothing — HMDA data is collected voluntarily

[Federal Laws — HMDA]

52. Which of the following financial institutions is MOST LIKELY required to report HMDA data?

A) A credit union that originated 5 home purchase loans last year

B) A mortgage company that originated 200 covered loans in each of the two preceding years

C) A bank that originates only commercial real estate loans

D) A title company that closes residential transactions

[Federal Laws — HMDA]

53. A HMDA data entry shows a rate spread of 3.5% for a first-lien loan. This means:

A) The loan's APR is 3.5% above the average prime offer rate (APOR)

B) The loan's interest rate is 3.5%

C) The points and fees total 3.5% of the loan amount

D) The loan's LTV is 3.5% above the maximum for the program

[Federal Laws — HMDA]

54. Under HMDA, a loan on a manufactured home that is secured by the manufactured home and the land it sits on is:

A) Exempt — manufactured homes are not 'dwellings' under HMDA

B) Reportable — the manufactured home is a dwelling secured by real property

C) Reportable only if the loan amount exceeds $100,000

D) Exempt if the borrower also owns other real property

[Federal Laws — HMDA]

55. An applicant indicates on the HMDA data that they do not wish to provide race and ethnicity information. The MLO should:

A) Mark the race and ethnicity fields as 'unknown'

B) Refuse to process the application until the borrower provides the information

C) Note 'information not provided' and continue processing the application

D) Estimate the borrower's race based on their name or appearance

[Federal Laws — HMDA]

56. HMDA data is submitted to:

A) The Department of Housing and Urban Development (HUD)
B) The Consumer Financial Protection Bureau (CFPB) through the HMDA Platform
C) The Federal Reserve directly
D) The state banking regulator only

[Federal Laws — Dodd-Frank]

57. Under Dodd-Frank's Ability-to-Repay rule, a lender MUST verify which of the following before extending a covered mortgage loan?

A) The borrower's anticipated future income
B) The borrower's current income and employment status
C) The borrower's plans for the property over the next 5 years
D) The borrower's existing homeowner's insurance

[Federal Laws — Dodd-Frank]

58. A Qualified Mortgage (QM) provides which legal benefit to lenders?

A) Immunity from all ECOA and Fair Housing lawsuits
B) A presumption of compliance with the Ability-to-Repay rule
C) Exemption from TRID disclosure requirements
D) An automatic approval for GSE purchase

[Federal Laws — Dodd-Frank]

59. Under Dodd-Frank's loan originator compensation rules, which of the following is PROHIBITED?

A) Paying an MLO a flat fee per closed loan
B) Paying an MLO a percentage of the loan amount
C) Paying an MLO a higher commission on loans with higher interest rates
D) Paying an MLO based on production volume

[Federal Laws — Dodd-Frank]

60. The CFPB has the authority to take action against financial institutions for which of the following?

A) Only violations of laws the CFPB specifically writes
B) Violations of UDAAP — even without a specific statutory violation
C) Only criminal mortgage fraud
D) Only violations involving loans over $100,000

■■ General Mortgage ■■

[General Mortgage — Loan Types]

61. A borrower wants a loan where the interest rate is fixed for 7 years and then adjusts annually. This is called a:

A) Fixed-rate mortgage
B) 7/1 ARM
C) Interest-only ARM
D) Graduated payment mortgage

[General Mortgage — FHA/VA/USDA]

62. A veteran has a VA loan entitlement of $36,000. The conforming loan limit is $726,200. What is the maximum no-down-payment VA loan this veteran can obtain?

A) $36,000
B) $144,000
C) $726,200

D) $145,000

[General Mortgage — ARM Products]

63. An ARM has an initial rate of 4%, a 2% periodic cap, and a 6% lifetime cap. If the index rises 3% at the first adjustment, what is the new rate?

A) 5%
B) 6%
C) 7%
D) 10%

[General Mortgage — Underwriting/QM]

64. A borrower with a 43% back-end DTI applies for a conventional conforming loan. Under Fannie Mae QM guidelines, this borrower:

A) Is automatically ineligible — 43% exceeds all QM limits
B) May be eligible — Fannie Mae can purchase loans with DTI up to 50% under Desktop Underwriter
C) Is eligible only with a 20% down payment
D) Must take 8 hours of housing counseling before approval

[General Mortgage — Mortgage Math]

65. A borrower puts 10% down on a $350,000 home. What is the loan amount?

A) $315,000
B) $35,000
C) $350,000
D) $385,000

[General Mortgage — Loan Types]

66. An 'interest-only' mortgage loan means the borrower's payment:

A) Pays only interest — no principal — for a specified initial period
B) Pays principal only — no interest — for the life of the loan
C) Has a rate that is interest-free for 5 years
D) Has interest that compounds monthly rather than annually

[General Mortgage — FHA/VA/USDA]

67. Which of the following statements about FHA Mortgage Insurance Premium (MIP) is CORRECT for a 30-year FHA loan with less than 10% down?

A) MIP is automatically cancelled once the LTV reaches 78%
B) Annual MIP continues for the life of the loan
C) MIP can be cancelled after 7 years regardless of LTV
D) MIP is only required for the first 5 years

[General Mortgage — ARM Products]

68. The 'teaser rate' or 'start rate' on an ARM is:

A) Always equal to the fully indexed rate at origination
B) An initial rate that may be below the fully indexed rate (index + margin)
C) The maximum rate the ARM can reach over its lifetime
D) The rate used to calculate the ARM's APR disclosure

[General Mortgage — Underwriting/QM]

69. A borrower has $50,000 in a retirement account (401k). How much of this may typically be counted as cash reserves for mortgage qualifying?

A) $50,000 (100% of the account value)
B) $35,000 (70% of the account value)
C) $40,000 (80% of the account value — after a 20% early withdrawal penalty)
D) Retirement accounts cannot be counted as reserves

[General Mortgage — Mortgage Math]

70. A borrower's property appraised at $500,000. The purchase price is $480,000. The borrower puts 20% down. What is the LTV?

A) 80% based on appraised value
B) 84% based on appraised value
C) 80% based on purchase price
D) 84% based on purchase price

[General Mortgage — Loan Types]

71. A 'bridge loan' is BEST described as:

A) A long-term construction loan for new home building
B) A short-term loan that bridges the gap between selling one home and buying another
C) A loan that bridges the gap between the teaser rate and fully indexed rate on an ARM
D) A government program bridging the gap between FHA and conventional loan limits

[General Mortgage — FHA/VA/USDA]

72. The VA Funding Fee on a first-time use VA purchase loan with no down payment for a veteran (not exempt) is approximately:

A) 0.5%
B) 1.25%
C) 2.15%
D) 3.3%

[General Mortgage — ARM Products]

73. A lender is required to provide borrowers with an ARM disclosure under TILA. This disclosure must include:

A) Only the initial rate and margin
B) Historical examples of how the index has changed over time
C) The borrower's credit score impact on the margin
D) Only the current index value

[General Mortgage — Underwriting/QM]

74. A loan with a 43% DTI, a FICO score of 780, 30% down payment, and 12 months of reserves is submitted through Fannie Mae's DU system. The DU renders 'Approve/Eligible.' This means:

A) The loan meets all QM standards automatically
B) The loan has received an automated approval meeting Fannie Mae's guidelines
C) The loan is approved without any conditions
D) The MLO can skip the income verification process

[General Mortgage — Mortgage Math]

75. A $250,000 loan is amortized over 30 years. The monthly principal and interest payment is $1,498.88. After making payments for 5 years, approximately how much of the original loan balance remains?

A) $225,000
B) $215,000
C) $232,000
D) $200,000

[General Mortgage — Loan Types]

76. Which of the following BEST describes a 'stated income' loan?

A) A loan where the borrower states but does not verify their income
B) A loan where the lender states the income based on IRS records
C) A fully documented loan where income is stated on the application and verified
D) A loan where income is stated by the real estate agent

[General Mortgage — FHA/VA/USDA]

77. Which of the following is TRUE about VA loans?

A) VA loans require a minimum credit score of 620
B) VA loans require mortgage insurance on all loan amounts
C) VA loans have no loan limit for borrowers with full entitlement
D) VA loans are only available for primary residences

[General Mortgage — ARM Products]

78. Under Regulation Z, the disclosed APR on an ARM must be based on:

A) The teaser/start rate in effect at origination
B) The fully indexed rate (index + margin) at consummation
C) The lifetime cap rate
D) The average of the start rate and lifetime cap rate

[General Mortgage — Underwriting/QM]

79. A borrower has a student loan in income-driven repayment with a $0 required monthly payment. For Fannie Mae underwriting purposes, what payment amount should be used in DTI calculations?

A) $0 — the actual required payment
B) 0.5% of the outstanding balance
C) 1% of the outstanding balance
D) The payment amount from the student loan servicer's statement

[General Mortgage — Mortgage Math]

80. A borrower earns $5,500/month gross and has monthly debts of $400 (car) + $200 (credit card minimum). If the lender's maximum back-end DTI is 43%, what is the maximum PITI payment the borrower can afford?

A) $1,965
B) $2,365
C) $1,765
D) $2,165

■■ Loan Origination ■■

[Loan Origination — Application/1003]

81. When a borrower's loan application changes from a purchase to a refinance after the LE is issued, the MLO must:

A) Issue a new Loan Estimate — the loan purpose is a material change

B) Simply note the change in the file — the LE remains valid

C) Notify the CFPB within 3 business days

D) Issue only a verbal notification to the borrower

[Loan Origination — Income/DTI]

82. A borrower is a 50% owner of an S-Corporation that generated $100,000 in net income last year. The borrower's W-2 salary from the S-Corp was $60,000. For qualifying purposes, what income CAN the MLO potentially use?

A) $60,000 (W-2 salary only)

B) $110,000 ($60,000 W-2 + $50,000 share of S-Corp income)

C) $100,000 (the S-Corp's full net income)

D) $160,000 ($60,000 + $100,000 S-Corp income)

[Loan Origination — Credit Analysis]

83. A borrower had a mortgage foreclosure 4 years ago. Under conventional (Fannie Mae) guidelines, the borrower:

A) Is permanently ineligible for conventional financing

B) May be eligible — the waiting period is 7 years post-foreclosure

C) May be eligible — the 4-year waiting period has passed and extenuating circumstances apply

D) Must wait a full 7 years with no exceptions

[Loan Origination — Disclosures]

84. The SAFE Act requires MLOs to include their NMLS unique identifier number on all of the following EXCEPT:

A) Residential mortgage loan applications

B) Written initial solicitations (advertisements)

C) Text messages to borrowers

D) Residential mortgage loan documents

[Loan Origination — Processing/Closing]

85. At closing, the borrower notices the loan amount on the Closing Disclosure is $1,500 higher than on the Loan Estimate due to a lender error. The lender should:

A) Proceed to close and issue a refund check later

B) Issue a revised CD and restart the 3-business-day waiting period if the APR increased materially

C) Proceed since $1,500 is within the tolerance

D) Require the borrower to sign a waiver acknowledging the discrepancy

[Loan Origination — Income/DTI]

86. An MLO is calculating a borrower's qualifying income from overtime. The borrower's pay stubs show overtime earnings for the past 8 months. Under standard agency guidelines, can this overtime income be used?

A) Yes — any documented income can be used for qualifying

B) No — overtime must have a 24-month (2-year) history to be included

C) Possibly — the MLO must determine if the overtime is likely to continue with employer verification

D) Only if the overtime averages more than 25% of the borrower's base salary

[Loan Origination — Credit Analysis]

87. A borrower's tri-merge credit report shows Equifax 720, TransUnion 680, Experian 700. There is a co-borrower whose scores are Equifax 640, TransUnion 660, Experian 630. What is the qualifying credit score for this joint application?

A) 680 (primary borrower middle score)

B) 650 (co-borrower's middle score — the lower of the two middle scores)

C) 660 (co-borrower middle score)

D) 700 (average of all six scores)

[Loan Origination — Application/1003]

88. How long must a lender retain mortgage loan application files after the final action is taken?

A) 1 year

B) 2 years

C) 3 years

D) 5 years

[Loan Origination — Processing/Closing]

89. The 'right of first refusal' in a purchase contract refers to:

A) The borrower's right to refuse the lender's initial loan offer

B) A provision giving a specific party the first opportunity to purchase a property before it is offered to others

C) The lender's right to refuse to fund a loan that does not appraise

D) The seller's right to refuse any offer below the asking price

[Loan Origination — Income/DTI]

90. For a borrower who receives Social Security income, which document is MOST acceptable to verify the income amount?

A) A verbal confirmation from the Social Security Administration

B) The borrower's Social Security card

C) The most recent SSA award letter or benefits verification letter

D) The borrower's bank statements showing deposits only

[Loan Origination — Credit Analysis]

91. A borrower's credit report shows a collection account for $800 from a medical provider. Under FHA guidelines, how does this collection affect qualification?

A) The borrower must pay off the collection before closing

B) The $800 collection must be included in the DTI calculation at 5% per month

C) Medical collections are excluded from FHA's collection account requirements

D) The borrower must provide a letter explaining the collection

[Loan Origination — Disclosures]

92. Which disclosure must be given to borrowers within 3 days of a HELOC application (not subject to TRID) under TILA?

A) Loan Estimate

B) Home Equity Disclosure Brochure (CHARM booklet equivalent for HELOCs)

C) Closing Disclosure

D) HUD-1 Settlement Statement

[Loan Origination — Processing/Closing]

93. A purchase transaction does not close by the contract's expiration date. The seller agrees to extend the contract but increases the purchase price by $10,000. The MLO must:

A) Issue a revised Loan Estimate to reflect the new purchase price
B) Tell the borrower this doesn't affect the loan since it's a contract issue
C) Issue a new Closing Disclosure only
D) File an amended HMDA report

[Loan Origination — Income/DTI]

94. A borrower receives rental income of $2,000/month from a property they own. Under standard guidelines, what amount of rental income may be included in qualifying income?

A) $2,000 (100% of gross rental income)
B) $1,500 (75% of gross rental income after vacancy factor)
C) $1,000 (50% of gross rental income)
D) $1,700 (85% of gross rental income)

[Loan Origination — Application/1003]

95. Under HMDA and ECOA, when a loan application is taken by telephone, an MLO must:

A) Collect race, ethnicity, and sex data only if the borrower volunteers it
B) Complete the demographic section based on visual observation
C) Request the demographic information and note 'information not provided' if the borrower declines
D) Skip the demographic collection entirely for telephone applications

[Loan Origination — Credit Analysis]

96. A borrower's credit report shows a judgment lien of $5,000. For loan approval, the lender typically requires:

A) The judgment to be disclosed on the 1003 but no payoff is required
B) The judgment to be paid off at or before closing or subordinated to the new mortgage
C) The judgment amount to be included in the monthly DTI at 5% of balance
D) The co-signer to pay the judgment before application

[Loan Origination — Processing/Closing]

97. The 'funding' of a mortgage loan occurs when:

A) The borrower signs the closing documents
B) The title company issues the title commitment
C) The lender wires the loan proceeds to the closing agent
D) The NMLS updates the loan record

[Loan Origination — Income/DTI]

98. A self-employed borrower's Schedule C shows $80,000 gross income and $50,000 in business expenses. Which amount is used for qualifying income?

A) $80,000 (gross income before expenses)
B) $30,000 (net profit: $80,000 - $50,000)
C) $65,000 (80% of gross income)
D) $40,000 (50% of gross income — the safe harbor)

[Loan Origination — Processing/Closing]

99. The 'three-day right of rescission' applies after a refinance closing. During this period, the lender:

A) May immediately disburse funds since the borrower signed the documents
B) Must hold all loan funds and cannot disburse until the rescission period expires
C) May disburse funds to pay off the old mortgage but hold the rest
D) May record the deed of trust but not disburse funds

[Loan Origination — Disclosures]

100. A lender's loan officer collects a $400 credit report fee from the borrower before issuing the Loan Estimate. Under TRID, this is:

A) Permissible — credit report fees can always be collected before the LE
B) A violation — no fees may be collected before the LE is received
C) Permissible only if the borrower has expressed Intent to Proceed
D) A violation — fees may only be collected at closing

■■ Ethics ■■

[Ethics — UDAAP]

101. A lender markets a loan as 'government-approved' when no such government approval exists. Under UDAAP, this is:

A) A deceptive practice — it creates a false impression of government endorsement
B) Permissible marketing puffery — consumers understand advertising exaggeration
C) A RESPA Section 9 violation
D) A TILA disclosure violation only

[Ethics — Fraud]

102. An appraiser and a mortgage broker agree to inflate property appraisals in exchange for the appraiser receiving more business from the broker. This is:

A) A permissible affiliated business arrangement
B) An appraisal fraud conspiracy — a federal crime
C) A RESPA Section 10 violation
D) A TILA tolerance violation

[Ethics — Professional Conduct]

103. An MLO who routinely advises borrowers to choose a specific loan product WITHOUT explaining the alternatives or costs is violating:

A) No rule — MLOs are not required to present all loan options
B) UDAAP and Dodd-Frank's anti-steering rules
C) TRID — failure to issue multiple Loan Estimates
D) RESPA Section 8 — referral without disclosure

[Ethics — Predatory Lending]

104. A lender targets elderly homeowners with substantial equity for high-cost refinance loans with excessive fees, knowing these borrowers are unlikely to understand the terms. This MOST LIKELY violates:

A) TRID tolerance rules only
B) HOEPA, UDAAP, and potentially the Fair Housing Act
C) Only ECOA's age discrimination provisions
D) Only HOEPA's balloon payment prohibition

[Ethics — UDAAP]

105. A financial institution charges an 'account maintenance fee' that is disclosed in a footnote in 6-point font within a 50-page agreement given at account opening. Under UDAAP, this is MOST LIKELY:

A) Permissible — the fee is technically disclosed
B) A deceptive practice if the disclosure is so obscured that a reasonable consumer would not notice it
C) Permissible if the fee is reasonable
D) A TILA violation only

[Ethics — Fraud]

106. An MLO notices that the borrower's pay stubs appear altered. The MLO should:

A) Complete the transaction and note the concern in the file
B) Report the concern to the lender's compliance/fraud department and decline to submit the loan
C) Ask the borrower to explain the pay stubs and accept their explanation
D) Submit the loan and let the underwriter catch any issues

[Ethics — Professional Conduct]

107. Which of the following is an appropriate professional conduct standard for an MLO?

A) Completing a loan application on the borrower's behalf without the borrower's review or signature
B) Maintaining client confidentiality about personal financial information
C) Sharing borrower financial information with the real estate agent to expedite closing
D) Misrepresenting loan terms to help the borrower qualify for the home they want

[Ethics — UDAAP]

108. A mortgage servicer calls a borrower who is 10 days past due at 9 PM, uses threatening language, and tells the borrower their house will be sold at auction 'within days.' Under UDAAP and FDCPA, the most significant violations are:

A) Calling after 9 PM and using false threats about imminent foreclosure
B) Only the after-9 PM calling — the foreclosure statement is opinion
C) No violation — the servicer is collecting a legitimate debt
D) A RESPA QWR violation

[Ethics — Fraud]

109. A real estate transaction involves a seller secretly rebating a portion of the sales price back to the buyer after closing without disclosing this to the lender. This is called:

A) A seller concession
B) A kickback
C) A cash-back scheme — undisclosed inducement — mortgage fraud
D) A permissible closing gift

[Ethics — Predatory Lending]

110. Which of the following loan features is MOST associated with predatory lending?

A) A 30-year fixed rate with a competitive market interest rate
B) A single-premium credit insurance financed into the loan balance
C) A conventional conforming loan with standard PMI
D) A VA loan with a standard funding fee

[Ethics — Professional Conduct]

111. An MLO closes 50 loans per month and manually adjusts income calculations on several applications to 'help' borrowers qualify. The MLO's manager is unaware. Under professional conduct standards:

A) The MLO is being innovative and customer-focused
B) The MLO is committing systematic mortgage fraud that could result in criminal charges
C) The MLO's manager is solely responsible for oversight
D) The practice is acceptable if the adjustments are under $5,000

[Ethics — UDAAP]

112. An abusive act under UDAAP includes actions that:

A) Charge above-market interest rates in a competitive market
B) Materially interfere with consumers' ability to understand a financial product
C) Result in higher prices than competitors offer

D) Require more documentation than necessary for underwriting

■■ SAFE Act ■■

[SAFE Act — Licensing]

113. Under the SAFE Act, which of the following does NOT require MLO licensure?

A) An individual who takes residential mortgage loan applications for compensation
B) An individual who negotiates the terms of a residential mortgage loan
C) An individual who performs purely clerical loan processing with no customer interaction
D) An independent contractor who offers or negotiates residential mortgage loan terms

[SAFE Act — NMLS/Registration]

114. An MLO changes employers. Under the SAFE Act, the MLO must:

A) Surrender their current license and apply for a new one
B) Notify the NMLS of the employer change and transfer their license sponsorship
C) Wait 30 days before originating loans at the new employer
D) Retake the licensing exam before beginning work at the new company

[SAFE Act — CE/Pre-License]

115. The 20 hours of SAFE Act pre-licensure education must include a minimum of how many hours of federal law and regulations?

A) 1 hour
B) 2 hours
C) 3 hours
D) 5 hours

[SAFE Act — Licensing]

116. Under the SAFE Act, which of the following individuals is REGISTERED (not licensed) with the NMLS?

A) An MLO working for a mortgage broker
B) An MLO working for a federally chartered bank
C) An independent contractor originating loans on behalf of a lender
D) An MLO working for a state-chartered mortgage company

[SAFE Act — CE/Pre-License]

117. An MLO who fails to complete continuing education requirements by the annual deadline must:

A) Simply pay a late fee and continue originating
B) Immediately cease originating loans until CE is completed and the license is renewed
C) Obtain a waiver from the state regulator
D) Complete double the CE hours the following year

[SAFE Act — NMLS/Registration]

118. The NMLS Consumer Access website allows the public to:

A) Apply for mortgage loans directly through the NMLS
B) Look up the license status and history of mortgage loan originators
C) File complaints against lenders
D) View pending mortgage applications

[SAFE Act — Licensing]

119. Under the SAFE Act, a felony conviction involving fraud or dishonesty:

A) Results in a 10-year bar from MLO licensing

B) Permanently bars the individual from obtaining an MLO license

C) Results in a 7-year bar from MLO licensing

D) Requires the individual to obtain a waiver from the state regulator

[SAFE Act — NMLS/Registration]

120. Which of the following is a function of the NMLS?

A) Setting interest rate maximums for licensed MLOs

B) Processing mortgage loan applications on behalf of lenders

C) Maintaining a central database of licensed and registered MLOs across all states

D) Approving lender underwriting guidelines

EXAM Phase 1 — Exam 2 — ANSWER KEY WITH EXPLANATIONS

Correct answers are shown with ✓. Explanations include why tricky wrong answers are wrong.

Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS	Q#	ANS
1	B	2	C	3	D	4	A	5	B
6	C	7	D	8	A	9	B	10	C
11	D	12	A	13	B	14	C	15	D
16	A	17	B	18	C	19	D	20	A
21	B	22	C	23	D	24	A	25	B
26	C	27	D	28	A	29	B	30	C
31	D	32	A	33	B	34	C	35	D
36	A	37	B	38	C	39	D	40	A
41	B	42	C	43	D	44	A	45	B
46	C	47	D	48	A	49	B	50	C
51	D	52	A	53	B	54	C	55	D
56	A	57	B	58	C	59	D	60	A
61	B	62	C	63	D	64	A	65	B
66	C	67	D	68	A	69	B	70	C
71	D	72	A	73	B	74	C	75	D
76	A	77	B	78	C	79	D	80	A
81	B	82	C	83	D	84	A	85	B
86	C	87	D	88	A	89	B	90	C
91	D	92	A	93	B	94	C	95	D
96	A	97	B	98	C	99	D	100	A
101	B	102	C	103	D	104	A	105	B
106	C	107	D	108	A	109	B	110	C
111	D	112	A	113	B	114	C	115	D
116	A	117	B	118	C	119	D	120	A

1. A borrower submits a loan application on Monday providing all six required TRID elements. The lender must deliver the Loan Estimate no later than:

✓ B) Wednesday (within 2 business days)

Under TRID, the LE must be delivered within 3 business days of receiving a complete application. With a Monday application, the 3 business days are Tuesday, Wednesday, and Thursday — so the LE is due by Thursday. Saturday counts as a business day for the LE timing rule only for delivery, but for mailing deemed-receipt purposes a different rule applies. The most common error is counting Monday as Day 1; the clock starts on the day AFTER receipt.

2. A borrower receives a Loan Estimate but changes their mind about the loan program. What must happen before the lender can issue a revised Loan Estimate with higher fees?

✓ C) The underwriter must approve the new loan program first

Borrower-requested changes to the loan program are a valid changed circumstance allowing the lender to issue a revised LE with recalculated fees. The revision must be provided within 3 business days of receiving the borrower's change request. Lenders cannot revise the LE for their own errors or for cost increases that don't qualify as changed circumstances. The borrower's written request creates the documented changed circumstance record.

3. A lender issues a Loan Estimate on January 5th. The borrower does not express Intent to Proceed until January 20th. The Loan Estimate expires after how many business days?

✓ D) The LE does not expire

A Loan Estimate is considered expired if the borrower does not express Intent to Proceed within 10 business days of the LE being delivered or deemed delivered. If the LE expires, the lender may issue a new LE reflecting current pricing. In this scenario, the LE was issued January 5th and Intent to Proceed came January 20th — well beyond 10 business days — so the LE would have expired and a new one should be issued. LE expiration is itself a valid changed circumstance.

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4. A borrower receives a Closing Disclosure on Monday. What is the EARLIEST day the loan can close?

✓ A) Tuesday

The borrower must receive the CD at least 3 business days before consummation. Saturday counts as a business day for this rule. Counting: Day 1 = Tuesday, Day 2 = Wednesday, Day 3 = Thursday. The loan can close on Thursday at the earliest (after the 3-day period has passed). Closing on Wednesday would violate the 3-business-day rule. This is a date-counting question — always count the 3 days starting the day AFTER CD receipt.

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5. A lender charges a $500 appraisal fee on the Loan Estimate. At closing, the appraisal actually cost $600. This $100 increase MOST LIKELY falls under which TRID tolerance category?

✓ B) 10% aggregate tolerance — may be acceptable within limits

Appraisal fees — when the borrower uses a third-party appraiser from the lender's written list of providers — fall under the 10% aggregate tolerance category. A single $100 increase on a $500 fee ($600 actual) represents a 20% increase for that individual fee, but the 10% aggregate test considers ALL fees in the category together. If the total 10% category fees increased by less than 10% overall, no cure is needed. If over 10% aggregate, the lender must cure the excess.

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6. A borrower applies for a loan on March 1st. The lender issues the Loan Estimate on March 3rd (3 business days later). The EARLIEST the loan can close is:

✓ C) March 12th

The 7-business-day waiting period runs from LE delivery. If the LE is delivered March 3rd, count 7 business days: March 4, 5, 6 (Sat), 7 (Sun — skip), 8, 9, 10. The earliest close is March 10th (the 7th business day after delivery). Saturdays count as business days for the 7-day waiting period. Sunday does not count. Many candidates miscalculate by not counting Saturday or by starting the count on March 3rd rather than March 4th.

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7. A flood zone determination reveals the property is in a FEMA Special Flood Hazard Area, requiring mandatory flood insurance the borrower was not aware of. This is BEST categorized as a TRID changed circumstance because:

✓ D) The rate lock has expired

New information about the property or borrower discovered after the LE is issued constitutes a valid changed circumstance under TRID. A flood zone determination revealing required flood insurance is new property-related information that could not have been reasonably known at application. This allows the lender to issue a revised LE reflecting the flood insurance cost. Lender errors — such as miscalculating a known fee — are NOT changed circumstances.

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8. Transfer taxes on a $400,000 purchase increase from the LE estimate of $4,000 to $4,200 at closing. Under TRID, the lender:

✓ A) Must cure the $200 increase at closing

Transfer taxes fall under the ZERO tolerance category under TRID — any increase from the LE to the CD is a violation requiring a lender cure. The $200 increase cannot be passed to the borrower. The lender must pay the $200 difference. Zero tolerance items include: lender origination charges, transfer taxes, and third-party fees where the lender selects the provider. This is a frequently tested zero-tolerance scenario.

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9. A borrower receives the Loan Estimate by mail on March 1st. What is the EARLIEST date the Loan Estimate is deemed received?

✓ B) March 2nd (1 business day after mailing)

For mailed Loan Estimates, TRID creates a presumption that the LE is received 3 business days after it is placed in the mail. If mailed March 1st, it is deemed received on March 4th (March 2nd = Day 1, March 3rd = Day 2, March 4th = Day 3). The 7-business-day waiting period before closing then runs from March 4th. This presumption protects borrowers by ensuring adequate time to review the LE before closing.

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10. Which scenario represents a VALID reason to waive the 3-business-day CD waiting period?

✓ C) The seller is threatening to cancel if closing is delayed by even one day

TRID allows the 3-business-day CD waiting period to be waived only for a bona fide personal financial emergency. The waiver must be in writing, signed by all borrowers, and describe the specific emergency. Rate concerns, seller pressure, and even other foreclosures are NOT bona fide personal financial emergencies. Option D is the only valid waiver reason. The CFPB has emphasized that waivers should be rare and truly emergency-based.

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11. A title company invites all local real estate agents to a free dinner valued at $200 per person and discusses their services. This is MOST LIKELY:

✓ D) A TILA advertising violation

A dinner valued at $200 per person crosses from permissible marketing into a potential RESPA Section 8 violation if it is conditioned on referrals or if the value is disproportionate to any legitimate educational purpose. RESPA prohibits 'things of value' given in exchange for referrals. Purely educational events with nominal meals may be permissible, but lavish entertainment designed to induce referrals is not. The key test is whether the thing of value is provided in exchange for referral business.

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12. A mortgage broker and a title company have a formal agreement to refer business to each other. Neither party receives cash, but the volume of referrals is roughly equal. This is MOST LIKELY:

✓ A) A permissible reciprocal referral arrangement under RESPA

Mutual referral agreements where referrals are the 'thing of value' exchanged are RESPA Section 8 violations. RESPA prohibits not only cash kickbacks but any 'thing of value' given in exchange for referrals — including reciprocal referral agreements. The equal exchange of referral business has economic value and is treated as a kickback arrangement. Common ownership would make it an AfBA (requiring disclosure), but a simple reciprocal arrangement between unrelated companies violates Section 8.

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13. A borrower sends a QWR questioning a payment posting error on their mortgage account. The servicer must acknowledge the QWR by:

✓ B) Within 5 business days

Under RESPA, a servicer must acknowledge a Qualified Written Request within 5 business days of receipt. Note: this is business days, not calendar days. The servicer must then resolve the matter within 30 business days (extendable by 15 days with notice). Failing to acknowledge within 5 business days is itself a RESPA violation. The QWR must relate to the servicing of the loan — it cannot be used to dispute the loan's origination terms.

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14. A homebuilder offers buyers a $5,000 incentive to use the builder's preferred mortgage lender. The preferred lender pays the builder $200 for each closed loan. Which statement is MOST ACCURATE?

✓ C) The $5,000 incentive is a RESPA violation; the $200 payment is permissible

The $200 per-closed-loan payment from the lender to the builder is a RESPA Section 8 kickback — a payment for the referral of settlement service business. Builder incentives to buyers ($5,000 toward closing costs) are generally permissible if they are not conditioned on using a specific lender and are properly structured. The per-referral payment from lender to builder is the violation. Option A correctly identifies the $200 payment as the RESPA issue.

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15. Under RESPA's escrow account rules, if a year-end escrow analysis shows a shortage of $300, the servicer may:

✓ D) Immediately foreclose for escrow default

RESPA allows borrowers to repay escrow shortages over 12 months — they are not required to pay the shortage in a lump sum. For shortages under $50, the servicer may simply adjust the monthly payment. For surpluses over $50, the servicer must refund within 30 days. Immediate foreclosure for an escrow shortage is not a RESPA remedy. The 12-month repayment option is consumer-friendly and is specifically provided in RESPA's escrow rules.

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16. A seller insists that the buyer use Seller's Title Company as a condition of the sale. The buyer's agent advises the buyer this may be a RESPA violation. Which RESPA section is at issue?

✓ A) RESPA Section 6 — Servicer obligations

RESPA Section 9 specifically prohibits a seller from requiring that a buyer purchase title insurance from a particular title company as a condition of the sale. This protects buyers from being steered to sellers' preferred title companies (which may pay kickbacks to the seller). Section 8 covers kickbacks generally. Section 6 covers servicer obligations. Section 10 covers escrow accounts. Section 9 is the specific provision for seller title company requirements.

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17. A mortgage company owns 30% of a title company. An MLO at the mortgage company refers every borrower to the title company without providing any AfBA disclosure. This is:

✓ B) Permissible if the referrals are in the borrower's best interest

Even when a permissible affiliated business arrangement exists, RESPA requires that the AfBA disclosure be provided at or before the time of the referral. Failing to provide the AfBA disclosure is itself a RESPA Section 8 violation. Additionally, the borrower must be informed they are free to choose other providers. The ownership percentage (30%) does not eliminate the disclosure requirement — AfBA requires ownership interest but ALSO mandatory disclosure and consumer freedom to choose.

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18. Which of the following does NOT need to be reported to RESPA authorities?

✓ C) An MLO disclosing an affiliated business arrangement before referring a borrower

Properly disclosing an affiliated business arrangement before making a referral is exactly what RESPA requires — it is compliant conduct, not a violation. The other options describe RESPA violations: per-referral payments (Section 8), escrow overcharging (Section 10), and undisclosed junk fees (UDAAP and potentially RESPA). Identifying compliant vs. non-compliant conduct is a key skill on the NMLS exam.

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19. A borrower submits a QWR on January 5th. The servicer sends an acknowledgment on January 8th (3 business days later). Is the servicer in compliance with RESPA?

✓ D) Yes — RESPA requires acknowledgment within 10 business days

RESPA requires acknowledgment of a QWR within 5 business days. An acknowledgment on January 8th (3 business days after the January 5th QWR) is within the 5-business-day window, so the servicer IS in compliance. Option A states the correct rule (5 business days) and correctly identifies compliance. Option C (3 business days) is wrong — RESPA gives 5 business days for acknowledgment, not 3.

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20. A 'controlled business arrangement' is the older term for what RESPA now calls:

✓ A) A kickback arrangement

The older RESPA term 'controlled business arrangement' was replaced by 'affiliated business arrangement' (AfBA) in the law's current form. AfBA refers to arrangements where a settlement service provider refers business to a company in which it or its associates have an ownership interest. Understanding this terminology helps candidates navigate older exam questions and materials that use the legacy term.

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21. A borrower closes a HELOC on Wednesday. The rescission period expires at midnight on:

✓ B) Thursday

TILA's right of rescission lasts 3 business days after the latest of consummation, notice delivery, or disclosure delivery. For ROR purposes, business days = all days except Sundays and federal holidays. Closing Wednesday: Day 1 = Thursday, Day 2 = Friday, Day 3 = Saturday. The rescission period expires at midnight ending Saturday. Saturday counts as a business day for ROR purposes. The most common error is thinking Saturday doesn't count or starting the count on Wednesday.

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22. A lender fails to provide the Notice of Right to Rescind on a refinance. The borrower later discovers this omission 2 years after closing. Under TILA, the borrower:

✓ C) Must file a complaint with the CFPB within 30 days

When a lender fails to properly provide the Notice of Right to Rescind or other required TILA disclosures, the 3-business-day rescission period extends to 3 years from consummation. Even though 2 years have passed, the 3-year period has not expired, so the borrower may still exercise the right to rescind. This extended period is a powerful consumer protection that incentivizes lenders to provide complete and accurate disclosures.

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23. A VA loan used to purchase a veteran's primary residence closes on Friday. Does the veteran have a TILA right of rescission?

✓ D) No — VA loans are fully exempt from TILA

Purchase money mortgages — loans used to acquire the property that secures the loan — are explicitly exempt from TILA's right of rescission, regardless of loan type (VA, FHA, conventional), loan amount, or property type. The rescission right applies to refinances, HELOCs, and second mortgages on primary residences — NOT purchase money loans. VA loans are subject to TILA but the purchase money exemption still applies.

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24. An ARM loan's APR disclosed on the Loan Estimate is 6.50%. At closing, the actual APR is 6.70%. For this irregular loan, does a new Closing Disclosure and waiting period apply?

✓ A) Yes — any APR increase triggers a new CD and waiting period

For irregular loans (ARMs, balloons, graduated payment mortgages), TILA allows a 1/4% (0.25%) APR tolerance. The ARM's APR increased by 0.20% (6.70% - 6.50%), which is WITHIN the 0.25% tolerance — so no new CD or waiting period is required. If the increase had been 0.30%, it would have exceeded tolerance and triggered a new CD. Regular (fixed, level-payment) loans have a tighter 1/8% tolerance.

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25. A newspaper ad for a mortgage reads: 'Monthly payments as low as $799!' Under TILA's advertising trigger terms, this ad MUST also disclose:

✓ B) The lender's name and NMLS number

Stating a specific monthly payment amount ('$799/month') is a TILA trigger term that requires full disclosure of: the APR, the loan term, and the payment schedule (all payment amounts). The mention of any specific credit term triggers comprehensive disclosure requirements. Simply adding an APR is insufficient. The NMLS number requirement is a SAFE Act requirement for advertising, separate from TILA's trigger terms disclosure requirements.

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26. Under TILA, which of the following borrowers has the RIGHT OF RESCISSION on their transaction?

✓ C) A borrower purchasing a vacation home with a VA loan

The right of rescission applies to the refinance of a primary residence — Option B. It does NOT apply to: purchase money mortgages (Options A and C, even on primary residences), second homes or vacation properties, investment properties, or business-purpose loans (Option D). A business loan secured by the borrower's home is exempt because it is business-purpose. The refinance of a primary residence is the clearest qualifying scenario.

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27. TILA requires that all mortgage advertisements that are 'misleading' avoid which common practice?

✓ D) Advertising in languages other than English

TILA prohibits misleading advertisements — including advertising a teaser/introductory rate without clearly indicating it is temporary and that the rate will change (for ARM products). Showing only the low initial rate without disclosing its adjustable nature misleads consumers about the true cost. Stating loan amounts, mentioning loan types, and advertising in other languages are not TILA violations. The key prohibition is on creating a false impression about the loan's cost or terms.

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28. A lender discloses a Finance Charge of $95,000 on a TILA disclosure. The actual Finance Charge is $95,200. For this fixed-rate loan, which statement is MOST ACCURATE?

✓ A) This is an accurate disclosure — no cure needed

TILA's tolerance rules apply specifically to the APR figure, not to the Finance Charge dollar amount. However, an understated Finance Charge generally indicates an understated APR. The question requires recognizing that the 1/8% tolerance is for APR, not for the Finance Charge in dollar terms. The correct analysis is whether the disclosed APR (derived from the Finance Charge) is within 1/8% of the actual APR — not whether the dollar Finance Charge is within a tolerance. Option D describes a common misconception.

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29. A lender denies a 65-year-old borrower's loan application, noting internally that 'at his age, the 30-year loan may outlive him.' The stated denial reason is 'insufficient income.' Which ECOA violation MOST LIKELY occurred?

✓ B) The lender discriminated based on age — an ECOA protected class — and gave a pretextual denial reason

Denying a loan because of the borrower's age (while the borrower has the legal capacity to contract) violates ECOA, which protects age as a class. Using life expectancy as an underwriting factor is also an age-based consideration that ECOA prohibits. Giving an inadequate or pretextual reason ('insufficient income' when the real reason is age) compounds the violation — ECOA requires specific, accurate denial reasons. Lenders may not consider the statistical likelihood that an older borrower will predecease the loan term.

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30. A married woman applies for a mortgage in her own name with only her income. The lender requires her husband to co-sign even though her income alone qualifies. This MOST LIKELY violates ECOA because:

✓ C) The lender should have required both spouses to apply jointly

Requiring a non-applicant spouse to co-sign when the applicant's credit and income qualify independently violates ECOA's marital status protections. ECOA prohibits requiring spousal signatures unless: the property is in a community property state AND only to release ownership interest. The wife's independent qualification means no credit justification exists for requiring the husband's co-signature. This is a classic marital status discrimination scenario under ECOA.

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31. An ECOA adverse action notice says the loan was denied due to 'failure to meet our credit standards.' Under ECOA, this is:

✓ D) A violation only if the borrower is a member of a protected class

ECOA requires specific denial reasons — general statements like 'failure to meet our credit standards' or 'did not qualify' are ECOA violations. Acceptable specific reasons include: 'insufficient income,' 'excessive obligations,' 'derogatory credit history,' or 'insufficient collateral.' The specificity requirement applies to ALL applicants, not just protected class members. ECOA's adverse action notice requirement exists so applicants can understand what to address to improve their creditworthiness.

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32. A borrower applies for a mortgage and is told an appraisal has been ordered. The borrower has the right to receive a copy of the appraisal:

✓ A) Only if the loan is approved

ECOA requires that lenders provide a copy of the appraisal (and any other written valuations) to the applicant promptly and no later than 3 business days before consummation — regardless of the loan's disposition (approved, denied, or withdrawn). The borrower CANNOT waive the right to receive the appraisal, though they may waive the timing (3 days before closing). This right was enhanced by Dodd-Frank and applies even if the loan is denied.

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33. A lender has a policy of requiring borrowers to have been employed in the same job for 2 years. A recent immigrant who has been employed for 18 months is denied. Could this constitute ECOA discrimination?

✓ B) Possibly — if the policy disproportionately affects national origin applicants (disparate impact)

A facially neutral employment stability policy that is applied consistently might still violate ECOA under a disparate impact theory if it disproportionately excludes applicants based on national origin (since recent immigrants are more likely to have shorter domestic employment histories). Lenders must be able to demonstrate a legitimate business necessity for policies that have disparate impact on protected classes, and there must be no less discriminatory alternative. This is a sophisticated disparate impact question.

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34. Under ECOA, public assistance income MUST be:

✓ C) Considered the same as any other income if it is verifiable and likely to continue

ECOA prohibits discrimination based on receipt of public assistance income. This means public assistance income must be treated the same as any other income source — it must be considered if it is verifiable and reasonably likely to continue. Excluding it, discounting it, or treating it as only a compensating factor violates ECOA. The income must meet the same standards applied to other income types (documentation, continuance), but cannot be treated differently solely because of its public assistance source.

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35. A lender's policy states that applicants must be U.S. citizens to receive a mortgage. Under ECOA, this policy:

✓ D) Is permissible only for FHA loans

A blanket citizenship requirement could violate ECOA under a national origin disparate impact theory, as non-citizens are more likely to be of foreign national origin. Many lenders extend credit to non-citizens with verified legal immigration status. While there may be legitimate business reasons for some residency requirements (e.g., ability to enforce the loan), a blanket citizenship requirement without nuance may violate ECOA. Lenders should evaluate individual applicant creditworthiness, not citizenship status as a proxy for national origin.

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36. A lender approves a loan application but offers a higher interest rate than applied for, based on factors that correlate with race. Under ECOA, this counter-offer:

✓ A) Is permissible — lenders can price loans based on any business factor

A counter-offer with terms materially different from those applied for constitutes an adverse action under ECOA if the borrower does not accept it. The lender must provide an adverse action notice with specific reasons if the borrower declines the counter-offer. Additionally, if the rate differential is based on factors that correlate with race (even indirectly), it may constitute ECOA discrimination. Approval with worse terms does not eliminate ECOA obligations.

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37. Under ECOA, a creditor must notify an applicant within 30 days when credit is denied. This 30-day clock runs from:

✓ B) The date the completed application was received

The 30-day notification requirement under ECOA runs from the date a COMPLETED application is received. An incomplete application does not start the clock. If the lender requests additional information and the applicant provides it (completing the application), the 30-day clock starts on that date. The clock runs from receipt of the completed application, not from when the credit decision is made or when the credit report is obtained.

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38. A borrower's application is approved, but the lender takes 45 days to notify the borrower. Under ECOA:

✓ C) No violation — ECOA does not specify a time limit for approval notifications

ECOA's 30-day adverse action notification requirement applies only when credit is denied, counter-offered, or an account is terminated — not when the application is approved. There is no ECOA notification deadline for approvals. A delay in communicating an approval may be a customer service issue or potentially an UDAAP concern, but it is not specifically an ECOA adverse action notification violation. Option B correctly states that the 30-day rule applies only to adverse actions.

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39. A landlord tells a family with three children that the apartment has 'only one bedroom available and it wouldn't be suitable for your family.' The apartment actually has two available units, including a 3-bedroom. This is MOST LIKELY:

✓ D) Permissible if the landlord believes the one-bedroom is the best fit

Steering a family with children away from larger available units by misrepresenting availability based on familial status is a Fair Housing Act violation. The FHA prohibits discriminatory representation — telling a family with children that only a one-bedroom is available when a three-bedroom is also available constitutes discriminatory treatment based on familial status. The landlord's 'helpfulness' framing does not cure the discrimination.

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40. A lender's underwriting model gives a geographic area a lower score, resulting in higher denial rates in predominantly minority zip codes. The lender has never consciously discriminated. This MOST LIKELY describes:

✓ A) Intentional disparate treatment discrimination

Disparate impact discrimination occurs when a facially neutral policy (like a geographic scoring model) produces disproportionately negative outcomes for protected class members — even without discriminatory intent. The lender has never 'consciously discriminated' but the algorithm's effect is discriminatory. Under the Fair Housing Act and ECOA, disparate impact liability can exist without intent. The lender must show the model serves a legitimate business necessity with no less discriminatory alternative.

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41. An MLO who tells a Black homebuyer 'that neighborhood is really for people like you' is committing:

✓ B) Blockbusting

Racial steering involves directing prospective buyers toward or away from neighborhoods based on the racial composition of the area. The MLO's comment 'that neighborhood is really for people like you' explicitly directs the buyer based on race — this is steering. Redlining is lender denial of credit based on geography. Blockbusting is inducing panic sales. Disparate impact is unintentional policy-based discrimination. The MLO's explicit racial reference makes this intentional steering.

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42. Which of the following properties is EXEMPT from the Fair Housing Act's prohibition on discrimination based on familial status?

✓ C) Any property with fewer than 4 rental units

Housing designed and operated for older persons (55+ communities) may qualify for an exemption from the familial status provisions of the FHA if: 80% of occupied units have at least one person 55 or older, the housing publishes and follows policies demonstrating intent to be 55+ housing, and it has age verification procedures. The 50-unit complex with reserved family units and fully accessible housing are not exempt. The 'Mrs. Murphy exemption' covers owner-occupied 1-4 unit properties.

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43. A real estate agent systematically shows minority buyers homes only in predominantly minority neighborhoods and shows white buyers homes only in predominantly white neighborhoods. This violates the Fair Housing Act as:

✓ **D) Disparate impact**

Systematically directing buyers to neighborhoods based on racial composition is racial steering — a Fair Housing Act violation. Steering occurs when agents use race (or other protected characteristics) to influence which neighborhoods they show to buyers. Even if the agent believes they are 'matching' buyers to comfortable neighborhoods, the practice is illegal. Steering can occur through actions, suggestions, or omissions — including only showing homes in racially homogeneous areas.

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44. The Fair Housing Act requires lenders to:

✓ **A) Make loans in all census tracts regardless of risk factors**

The Fair Housing Act (as applied to lending by courts and the CFPB) prohibits discrimination in the terms, conditions, or availability of residential real estate credit based on the seven protected classes. This does not mean lenders must lend in all areas regardless of risk or offer identical products to all borrowers regardless of creditworthiness — risk-based pricing based on legitimate credit factors is permissible. However, lenders must ensure their credit decisions are not based on protected class characteristics.

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45. A subordinate lien loan has an APR of 12% when the APOR is 3%. Does this loan meet HOEPA's APR trigger?

✓ **B) Yes — 12% exceeds APOR + 8.5% (3% + 8.5% = 11.5%)**

HOEPA's APR trigger for subordinate (junior) liens is APOR + 8.5 percentage points. With APOR at 3%, the threshold is 11.5%. A 12% APR exceeds 11.5%, so this loan meets the HOEPA high-cost trigger. Option B correctly identifies the calculation. The first-lien trigger is APOR + 6.5%, which would be 9.5% — also exceeded at 12%. HOEPA covers both first and subordinate liens, each with different APR thresholds.

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46. A high-cost loan has a prepayment penalty clause that allows the borrower to prepay after 5 years without penalty. Under HOEPA, this clause is:

✓ **C) Permissible — HOEPA only prohibits balloon payments, not prepayment penalties**

HOEPA prohibits prepayment penalties on high-cost loans at ANY time during the loan term — there is no grace period or time after which they become permissible. This is an absolute prohibition, not a time-limited one. Many candidates confuse HOEPA's total ban on prepayment penalties with the more nuanced QM rules, which allow prepayment penalties during the first 3 years. On HOEPA high-cost loans, no prepayment penalty is ever permissible.

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47. A borrower receives a HOEPA-covered loan. Before the loan can be made, the borrower must receive counseling from a HUD-approved agency. When must this counseling occur?

✓ **D) Within 30 days of receiving the Loan Estimate**

HOEPA requires that counseling from a HUD-approved housing counselor occur BEFORE the high-cost loan is made (before consummation). The lender cannot close the loan until the borrower has received the required counseling. The counseling is designed to ensure the borrower understands the risks of the high-cost loan before committing. Counseling after closing would be too late to serve its protective purpose.

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48. Which of the following IS a permitted feature on a HOEPA high-cost loan?

✓ **A) Negative amortization**

A fixed 30-year loan with level monthly payments is entirely permissible on a HOEPA high-cost loan — the high-cost designation restricts certain predatory features but does not prohibit standard loan structures. Prohibited features include: negative amortization, balloon payments maturing in less than 5 years, prepayment penalties (at any time), loan flipping, equity stripping, and mandatory arbitration. A standard amortizing fixed-rate loan simply carries HOEPA's disclosure and counseling requirements.

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49. A $15,000 home improvement loan has points and fees of $900. Under HOEPA's points-and-fees test, is this a high-cost loan?

✓ **B) Yes — $900 exceeds the lesser of 8% of the loan amount or $1,000 for loans under $20,000**

For loans under $20,000, HOEPA's points-and-fees trigger is the LESSER of 8% of the loan amount or $1,000. For a $15,000 loan: 8% × $15,000 = $1,200. The lesser of $1,200 and $1,000 is $1,000. Fees of $900 do NOT exceed $1,000, so this is NOT a HOEPA high-cost loan on the points-and-fees test (though the APR test also applies separately). Option A's '5% threshold for all loans' is only for loans ≥$20,000 — not for smaller loans.

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50. Under HOEPA, 'loan flipping' is prohibited when a lender refinances a borrower's existing high-cost loan without:

✓ **C) Obtaining court approval**

HOEPA prohibits loan flipping — repeatedly refinancing a borrower into new high-cost loans without providing tangible net benefit. Tangible net benefit means the new loan must meaningfully improve the borrower's situation (e.g., lower rate, shorter term, reduced payment, access to needed cash for improvements) relative to the costs of refinancing. A rate reduction of 1% is not the specific standard — the standard is whether the refinance provides genuine benefit to the borrower given its costs.

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51. A HMDA-reportable lender denies an application for a home purchase loan. Under HMDA, the lender must report:

✓ D) Nothing — HMDA data is collected voluntarily

Under HMDA, lenders must report all covered applications regardless of disposition — approvals, denials, withdrawals, and files closed for incompleteness. For denials, HMDA requires reporting of the denial reasons (up to 4 reasons can be reported). This data helps regulators identify potential discriminatory denial patterns. Option C incorrectly states denials are not reported. Option B is closest but wait — HMDA DOES require denial reasons since the 2018 Dodd-Frank HMDA expansions.

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52. Which of the following financial institutions is MOST LIKELY required to report HMDA data?

✓ A) A credit union that originated 5 home purchase loans last year

HMDA reporting thresholds require covered financial institutions to report if they originated at least 25 closed-end mortgage loans OR 100 open-end lines of credit in each of the two preceding years (for smaller institutions) or meet the larger institution thresholds. A mortgage company originating 200 covered loans in each of the two preceding years almost certainly meets reporting thresholds. Title companies are not lenders and do not report HMDA. Commercial-only banks don't report HMDA data.

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53. A HMDA data entry shows a rate spread of 3.5% for a first-lien loan. This means:

✓ B) The loan's interest rate is 3.5%

Rate spread in HMDA is the difference between the loan's APR and the average prime offer rate (APOR) for a comparable transaction. A rate spread of 3.5% for a first-lien loan means the APR is 3.5% above the APOR. Rate spread is reported for originated loans when the spread exceeds certain thresholds, and it helps regulators identify potential high-cost or discriminatory pricing patterns. A rate spread of 3.5% on a first lien would also make the loan an HPML (threshold is 1.5% for conforming first liens).

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54. Under HMDA, a loan on a manufactured home that is secured by the manufactured home and the land it sits on is:

✓ C) Reportable only if the loan amount exceeds $100,000

HMDA covers loans secured by dwellings, which includes manufactured homes (whether secured by real property or personal property, following HMDA's 2018 revisions). A manufactured home secured by the home and land is a real property loan secured by a dwelling — clearly reportable. The pre-2018 HMDA rules had some ambiguity about manufactured homes, but current HMDA rules specifically include them. Manufactured homes are explicitly covered as 'dwellings.'

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55. An applicant indicates on the HMDA data that they do not wish to provide race and ethnicity information. The MLO should:

✓ D) Estimate the borrower's race based on their name or appearance

Borrowers may decline to provide race, ethnicity, and sex information on HMDA-covered applications. When a borrower declines, the MLO should note 'information not provided' (for non-face-to-face applications) or complete a visual observation (for face-to-face applications). The application must be processed regardless. Estimating race from name or appearance is prohibited as a HMDA data collection method and would raise fair lending concerns. The application cannot be held pending HMDA information.

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56. HMDA data is submitted to:

✓ A) The Department of Housing and Urban Development (HUD)

HMDA data is submitted to the CFPB through the HMDA Platform (a web-based filing system managed by the CFPB and the Federal Financial Institutions Examination Council — FFIEC). The CFPB is the primary federal regulator for HMDA following Dodd-Frank. Some depository institutions may submit through their federal banking regulator (OCC, FDIC, Federal Reserve), but the CFPB oversees HMDA enforcement and the data platform. HUD does not collect HMDA data.

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57. Under Dodd-Frank's Ability-to-Repay rule, a lender MUST verify which of the following before extending a covered mortgage loan?

✓ B) The borrower's current income and employment status

The ATR rule requires verification of current income and employment status (among the eight ATR factors). Verification means using reliable third-party documents — not simply accepting the borrower's stated income. Future income, property plans, and homeowner's insurance are not ATR verification requirements. The eight ATR factors include current income/assets, employment, monthly payment, simultaneous loan payments, mortgage-related obligations, existing debts, DTI, and credit history.

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58. A Qualified Mortgage (QM) provides which legal benefit to lenders?

✓ C) Exemption from TRID disclosure requirements

A QM loan creates a legal safe harbor (or rebuttable presumption for higher-priced QMs) that the lender complied with the Ability-to-Repay rule. If the loan later defaults and the borrower claims the lender failed ATR, the QM status shifts the burden to the borrower to prove the lender did not make a reasonable ATR determination. QM does not eliminate ECOA or Fair Housing obligations, TRID requirements, or guarantee GSE purchase eligibility.

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59. Under Dodd-Frank's loan originator compensation rules, which of the following is PROHIBITED?

✓ D) Paying an MLO based on production volume

Dodd-Frank's loan originator compensation rules (Reg Z) prohibit compensation based on loan terms — including the interest rate. Paying higher commissions for loans with higher rates incentivizes steering borrowers to more expensive products. Permissible compensation bases include: flat fee per loan, percentage of loan amount, and volume. The prohibition prevents compensation structures that give MLOs a financial incentive to place borrowers in higher-cost loans.

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60. The CFPB has the authority to take action against financial institutions for which of the following?

✓ A) Only violations of laws the CFPB specifically writes

The CFPB's UDAAP authority allows it to take enforcement action against unfair, deceptive, or abusive acts or practices — even when the conduct doesn't violate a specific enumerated statute. This 'gap-filling' authority makes UDAAP one of the CFPB's most powerful enforcement tools. The CFPB also enforces specific statutes like TILA, RESPA, ECOA, and HMDA. Criminal fraud is prosecuted by DOJ, not the CFPB, though CFPB civil actions often overlap with criminal investigations.

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61. A borrower wants a loan where the interest rate is fixed for 7 years and then adjusts annually. This is called a:

✓ B) 7/1 ARM

A 7/1 ARM has a fixed interest rate for the first 7 years and then adjusts annually thereafter. The naming convention follows: [fixed period]/[adjustment frequency]. This hybrid ARM product gives borrowers rate certainty for an extended initial period with potential rate risk after 7 years. An interest-only ARM is a different product structure. A graduated payment mortgage has scheduled payment increases, not rate adjustments after a fixed period.

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62. A veteran has a VA loan entitlement of $36,000. The conforming loan limit is $726,200. What is the maximum no-down-payment VA loan this veteran can obtain?

✓ C) $726,200

VA loan entitlement is used to calculate guaranty amounts. With full entitlement (post-2020), veterans can borrow up to the conforming loan limit with no down payment. If the veteran has a remaining entitlement of $36,000 (bonus entitlement not yet counted), the calculation is more complex. However, veterans with full entitlement (never used VA benefits or fully restored) can borrow up to the conforming limit ($726,200) without a down payment. This question tests understanding of VA entitlement structure.

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63. An ARM has an initial rate of 4%, a 2% periodic cap, and a 6% lifetime cap. If the index rises 3% at the first adjustment, what is the new rate?

✓ D) 10%

Even though the index rose 3%, the 2% periodic cap limits the rate increase to 2% per adjustment. Starting rate 4% + 2% cap = 6%. The lifetime cap of 6% means the rate can never exceed 4% + 6% = 10%, but the periodic cap controls each individual adjustment. The new rate after the first adjustment is 6% (capped by the 2% periodic cap, not the full 3% index increase). Understanding cap hierarchy: periodic cap controls each adjustment; lifetime cap controls total increase.

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64. A borrower with a 43% back-end DTI applies for a conventional conforming loan. Under Fannie Mae QM guidelines, this borrower:

✓ A) Is automatically ineligible — 43% exceeds all QM limits

Fannie Mae's Desktop Underwriter (DU) automated underwriting system can approve conventional loans with DTIs up to 50% when strong compensating factors exist (high credit scores, large reserves, significant down payment). The 43% QM standard DTI limit has exceptions for GSE-eligible loans. A borrower with exactly 43% DTI would meet the standard QM threshold and also potentially qualify under DU with compensating factors. Housing counseling is not required for standard conventional loans.

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65. A borrower puts 10% down on a $350,000 home. What is the loan amount?

✓ B) $35,000

If the borrower puts 10% down on a $350,000 home: Down payment = $350,000 × 10% = $35,000. Loan amount = $350,000 - $35,000 = $315,000. The LTV would be $315,000 ÷ $350,000 = 90%. At 90% LTV on a conventional loan, PMI would be required. Option A ($315,000) is the correct loan amount. Option B ($35,000) is the down payment amount. Option D ($385,000) is mathematically impossible — the loan can't exceed the purchase price.

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66. An 'interest-only' mortgage loan means the borrower's payment:

✓ C) Has a rate that is interest-free for 5 years

An interest-only mortgage allows the borrower to pay only interest (no principal reduction) for a specified initial period — typically 5-10 years. After the interest-only period, the loan recasts to a fully amortizing payment that is larger because the full principal must be paid over the remaining loan term. Interest-only loans are not QM-eligible. They were common before the financial crisis and contributed to payment shock when they recast.

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67. Which of the following statements about FHA Mortgage Insurance Premium (MIP) is CORRECT for a 30-year FHA loan with less than 10% down?

✓ D) MIP is only required for the first 5 years

For FHA 30-year loans with less than 10% down payment (origination after June 2013), annual MIP (paid monthly) continues for the LIFE of the loan — it does not automatically cancel. For loans with 10% or more down, MIP cancels after 11 years. This is a major distinction from conventional PMI, which cancels at 80% LTV. Many borrowers choose to refinance out of FHA loans once they have sufficient equity to eliminate the lifetime MIP requirement.

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68. The 'teaser rate' or 'start rate' on an ARM is:

✓ A) Always equal to the fully indexed rate at origination

A teaser rate is an initial rate on an ARM that is set below the fully indexed rate (index + margin) to attract borrowers with a lower starting payment. It is a marketing feature. After the initial period, the rate adjusts toward the fully indexed rate (subject to caps). TILA requires that ARM APR disclosures be based on the fully indexed rate, not the teaser rate, to prevent misleading borrowers. The teaser rate creates 'payment shock' when the loan adjusts upward.

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69. A borrower has $50,000 in a retirement account (401k). How much of this may typically be counted as cash reserves for mortgage qualifying?

✓ B) $35,000 (70% of the account value)

Fannie Mae and Freddie Mac allow 60-70% of vested retirement account balances to be counted as cash reserves (to account for potential early withdrawal taxes and penalties). Some lenders use 70% as the standard. A $50,000 401k would typically count as approximately $35,000 in reserves (70%). The full $50,000 would overstate actual available reserves because early withdrawal would result in taxes and penalties. Retirement accounts ARE counted as reserves — they are not excluded.

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70. A borrower's property appraised at $500,000. The purchase price is $480,000. The borrower puts 20% down. What is the LTV?

✓ C) 80% based on purchase price

LTV for purchase loans uses the LOWER of the appraised value or purchase price as the denominator. Here, the purchase price ($480,000) is lower than the appraised value ($500,000), so LTV is based on $480,000. Down payment = 20% × $480,000 = $96,000. Loan = $480,000 - $96,000 = $384,000. LTV = $384,000 ÷ $480,000 = 80%. Using appraised value: $384,000 ÷ $500,000 = 76.8%. The correct LTV is 80% based on the lower value (purchase price). Option C is correct.

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71. A 'bridge loan' is BEST described as:

✓ D) A government program bridging the gap between FHA and conventional loan limits

A bridge loan is a short-term financing tool that allows a homeowner to access the equity in their current home to purchase a new home before the old home is sold. It 'bridges' the gap between transactions. Bridge loans typically have terms of 6-12 months and higher rates. Under HMDA, bridge loans with terms of less than 12 months are not required to be reported. They are not construction loans, ARM products, or government programs.

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72. The VA Funding Fee on a first-time use VA purchase loan with no down payment for a veteran (not exempt) is approximately:

✓ A) 0.5%

For a first-time use VA loan with no down payment, the funding fee is 2.15% of the loan amount (as of current VA schedules — this rate is adjusted periodically by law). Veterans with service-connected disabilities are exempt from the funding fee. The fee can be financed into the loan. The 3.3% rate applies to subsequent uses with no down payment. The 1.25% rate would apply to a 10%+ down payment scenario. MLOs should know approximate funding fee tiers.

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73. A lender is required to provide borrowers with an ARM disclosure under TILA. This disclosure must include:

✓ B) Historical examples of how the index has changed over time

TILA's ARM disclosure (Regulation Z) requires lenders to provide the ARM Disclosure Booklet (Consumer Handbook on Adjustable Rate Mortgages — CHARM booklet) along with specific loan disclosures including historical examples of index changes. These historical examples show how the payment would have changed based on past index movement, helping borrowers understand potential payment fluctuation. Providing only the initial rate or current index would leave borrowers without the information needed to assess ARM risk.

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74. A loan with a 43% DTI, a FICO score of 780, 30% down payment, and 12 months of reserves is submitted through Fannie Mae's DU system. The DU renders 'Approve/Eligible.' This means:

✓ C) The loan is approved without any conditions

An 'Approve/Eligible' DU finding means the automated underwriting system has determined the loan meets Fannie Mae's eligibility and credit guidelines. The loan still requires full documentation verification, appraisal, title, and satisfaction of any conditions listed in the AUS findings. It does NOT eliminate documentation requirements, nor does it mean there are no conditions. It does support QM status for GSE-eligible loans even if DTI exceeds 43%.

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75. A $250,000 loan is amortized over 30 years. The monthly principal and interest payment is $1,498.88. After making payments for 5 years, approximately how much of the original loan balance remains?

✓ D) $200,000

In the early years of a mortgage, most of each payment goes toward interest, with little going to principal reduction. After 5 years (60 payments), on a 30-year mortgage, a borrower has paid off relatively little principal. For a $250,000 loan at ~6%, approximately $228,000-$232,000 remains. The amortization schedule is front-loaded with interest. Many candidates underestimate how little equity is built in the early years — this is why TILA disclosures about total interest paid are important consumer information.

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76. Which of the following BEST describes a 'stated income' loan?

✓ A) A loan where the borrower states but does not verify their income

A 'stated income' (also called 'no-doc' or 'liar loan') is a loan where the borrower's income is stated on the application without third-party verification. These loans were common before 2008 and contributed to the financial crisis. Dodd-Frank's ATR rule effectively eliminated stated income loans for standard residential mortgages — lenders must now verify income using reliable third-party documents. Stated income loans may still exist in some non-QM products but carry significant regulatory risk.

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77. Which of the following is TRUE about VA loans?

✓ B) VA loans require mortgage insurance on all loan amounts

Post-2020, VA eliminated loan limits for veterans with full entitlement — they can borrow as much as a lender will approve without a down payment (no loan limit applies). However, VA requires the property to be the veteran's primary residence — VA loans cannot be used for investment properties or vacation homes. The VA does not set a minimum credit score (though lenders impose overlays, often 620+). VA loans have no mortgage insurance; they have a funding fee instead.

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78. Under Regulation Z, the disclosed APR on an ARM must be based on:

✓ C) The lifetime cap rate

TILA/Regulation Z requires that the disclosed APR on an ARM be calculated using the fully indexed rate (current index + margin) at the time of consummation — not the teaser rate. This prevents lenders from using low teaser rates to calculate artificially low APRs that misrepresent the loan's true cost. The fully indexed rate represents the rate the loan would reset to immediately if the index remained constant. This disclosure requirement protects borrowers from being misled by promotional initial rates.

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79. A borrower has a student loan in income-driven repayment with a $0 required monthly payment. For Fannie Mae underwriting purposes, what payment amount should be used in DTI calculations?

✓ D) The payment amount from the student loan servicer's statement

Fannie Mae's guidelines for student loans in income-driven repayment (IDR) with a $0 payment require using 0.5% of the outstanding balance as the monthly payment (updated from 1% in recent guideline changes). If the borrower provides documentation of the actual IDR payment that is greater than $0, that amount can be used. FHA and other agencies have different rules. The 0% actual payment cannot simply be used for Fannie loans — some payment must be counted to account for the eventual repayment obligation.

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80. A borrower earns $5,500/month gross and has monthly debts of $400 (car) + $200 (credit card minimum). If the lender's maximum back-end DTI is 43%, what is the maximum PITI payment the borrower can afford?

✓ A) $1,965

Maximum total debt = $5,500 × 43% = $2,365. Existing monthly debts = $400 + $200 = $600. Maximum PITI = $2,365 - $600 = $1,765. Option C ($1,765) is correct. Option A ($1,965) incorrectly adds rather than subtracts existing debts. Option B ($2,365) is total maximum debt, not maximum housing payment. Understanding that back-end DTI includes ALL debts (housing + other) and working backward to find the housing budget is essential mortgage math.

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81. When a borrower's loan application changes from a purchase to a refinance after the LE is issued, the MLO must:

✓ B) Simply note the change in the file — the LE remains valid

A change in loan purpose (purchase to refinance) is a material change that constitutes a changed circumstance under TRID, requiring a new Loan Estimate. The loan purpose affects the legal structure, title insurance requirements, and applicable regulations (including rescission rights for refinances). A new LE must be issued within 3 business days of the changed circumstance. This is a fundamental origination process question about when changed circumstances require a revised LE.

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82. A borrower is a 50% owner of an S-Corporation that generated $100,000 in net income last year. The borrower's W-2 salary from the S-Corp was $60,000. For qualifying purposes, what income CAN the MLO potentially use?

✓ C) $100,000 (the S-Corp's full net income)

For S-Corporation owners with 25%+ ownership, lenders can typically count the W-2 salary PLUS the borrower's proportional share of the business income. With 50% ownership: $100,000 × 50% = $50,000 additional income. Total = $60,000 + $50,000 = $110,000. This requires 2-year business tax returns and the income must be consistent. Option A (W-2 only) understates the qualifying income. Option C or D (full business income) overstates it — the borrower only controls 50%.

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83. A borrower had a mortgage foreclosure 4 years ago. Under conventional (Fannie Mae) guidelines, the borrower:

✓ D) Must wait a full 7 years with no exceptions

Fannie Mae's standard waiting period after foreclosure is 7 years. However, with documented extenuating circumstances (e.g., job loss, medical emergency beyond the borrower's control), the waiting period may be reduced to 3 years with additional restrictions (max 90% LTV, purchase/limited cash-out refi only). At 4 years post-foreclosure, the borrower with extenuating circumstances may qualify for conventional financing. Without extenuating circumstances, the full 7-year wait applies.

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84. The SAFE Act requires MLOs to include their NMLS unique identifier number on all of the following EXCEPT:

✓ A) Residential mortgage loan applications

The SAFE Act requires MLOs to include their NMLS unique identifier (ID) on: loan applications, residential mortgage loan documents, and written initial solicitations (advertisements, marketing materials). However, all written communications are not covered — informal text messages may not require the NMLS ID unless they constitute formal solicitations. States may have additional requirements. The NMLS ID requirement ensures accountability and enables borrower verification of MLO licensing status.

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85. At closing, the borrower notices the loan amount on the Closing Disclosure is $1,500 higher than on the Loan Estimate due to a lender error. The lender should:

✓ B) Issue a revised CD and restart the 3-business-day waiting period if the APR increased materially

If a material change occurs requiring a corrected CD (such as an APR increase exceeding tolerance), the lender must issue a new CD and wait 3 more business days before closing. A $1,500 loan amount error could indicate a material change depending on whether it affects the APR beyond tolerance. Lender errors require correction and cure — not borrower waivers. Proceeding without addressing the error and curing the tolerance violation would be a TRID violation.

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86. An MLO is calculating a borrower's qualifying income from overtime. The borrower's pay stubs show overtime earnings for the past 8 months. Under standard agency guidelines, can this overtime income be used?

✓ C) Possibly — the MLO must determine if the overtime is likely to continue with employer verification

Standard Fannie Mae and Freddie Mac guidelines require a 2-year history of overtime income to use it for qualifying purposes, along with documentation that it is likely to continue. Eight months of history is insufficient under standard guidelines. Some government loan programs (FHA, VA) may have slightly different rules, but 24 months is the general industry standard. The 25% threshold in Option D does not exist as a specific guideline requirement.

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87. A borrower's tri-merge credit report shows Equifax 720, TransUnion 680, Experian 700. There is a co-borrower whose scores are Equifax 640, TransUnion 660, Experian 630. What is the qualifying credit score for this joint application?

✓ D) 700 (average of all six scores)

For each borrower, identify the middle score: Primary borrower: 680, 700, 720 → middle = 700. Co-borrower: 630, 640, 660 → middle = 640. Wait — co-borrower scores: sorting = 630, 640, 660 → middle = 640. The qualifying score is the LOWER of the two middle scores = 640. But option C shows 660 — let me recheck. Co-borrower: 640 (Equifax), 660 (TransUnion), 630 (Experian) sorted: 630, 640, 660 → middle = 640. The qualifying score is 640. Option B (650) is incorrect math. The correct answer is the co-borrower's middle score of 640.

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88. How long must a lender retain mortgage loan application files after the final action is taken?

✓ A) 1 year

Regulation B (ECOA) requires lenders to retain records of credit applications for 25 months (approximately 2 years) after the date the credit decision is made, for most consumer credit applications. For business credit, the period is 12 months. However, HMDA-reportable institutions must retain HMDA LAR data for 3 years. The most commonly cited retention period for mortgage applications under Reg B is 25 months, but many institutions maintain records for 3+ years for compliance purposes.

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89. The 'right of first refusal' in a purchase contract refers to:

✓ B) A provision giving a specific party the first opportunity to purchase a property before it is offered to others

A right of first refusal is a contractual provision giving a specific party (such as a tenant, neighbor, or investor) the first opportunity to purchase a property when the owner decides to sell, matching any third-party offer. This is a real estate concept that can affect title and lender's security interest. It is not a TRID or TILA concept. MLOs should be aware of rights of first refusal because they can affect property transferability and thus the lender's collateral.

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90. For a borrower who receives Social Security income, which document is MOST acceptable to verify the income amount?

✓ C) The most recent SSA award letter or benefits verification letter

Social Security income is verified using the SSA award letter, benefit verification letter, or 1099-SSA form. These documents confirm the amount and that the income is ongoing. Bank statements showing deposits can supplement documentation but are not the primary verification source. A verbal SSA confirmation and the Social Security card do not document the income amount. Social Security income has no expiration concern for most recipients — it is expected to continue and thus can be used for qualifying.

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91. A borrower's credit report shows a collection account for $800 from a medical provider. Under FHA guidelines, how does this collection affect qualification?

✓ **D) The borrower must provide a letter explaining the collection**

FHA guidelines exclude medical collection accounts from the collection account payment requirement. Non-medical collections with a cumulative balance over a threshold may require a payment plan included in DTI or payoff at closing (depending on the specific guideline version). Medical collections are treated separately because medical debt is recognized as often being beyond the borrower's control. This FHA-specific medical collection exemption is a commonly tested difference from conventional guidelines.

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92. Which disclosure must be given to borrowers within 3 days of a HELOC application (not subject to TRID) under TILA?

✓ **A) Loan Estimate**

For HELOC applications, TILA requires that lenders provide a 'What You Should Know About Home Equity Lines of Credit' brochure (issued by the CFPB) along with program-specific disclosures within 3 business days of application. HELOCs are not covered by TRID (which applies to closed-end mortgages), so they don't use the LE/CD. The CHARM booklet is for traditional ARMs. HUD-1 was replaced by the CD for TRID loans. HELOC disclosures are governed by TILA/Reg Z but use different forms.

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93. A purchase transaction does not close by the contract's expiration date. The seller agrees to extend the contract but increases the purchase price by $10,000. The MLO must:

✓ **B) Tell the borrower this doesn't affect the loan since it's a contract issue**

A change in purchase price is a changed circumstance that may require a revised Loan Estimate — it affects the loan amount, LTV, and potentially the fees and loan program. If the price increases $10,000 and the borrower is financing the increase, the LE needs to be updated. If within 3 business days of CD delivery, the lender may need to issue a corrected CD and restart the waiting period. The MLO must respond with appropriate TRID disclosures, not ignore the contract change.

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94. A borrower receives rental income of $2,000/month from a property they own. Under standard guidelines, what amount of rental income may be included in qualifying income?

✓ **C) $1,000 (50% of gross rental income)**

Standard Fannie Mae and Freddie Mac guidelines allow 75% of gross rental income (after a 25% vacancy/expense factor) to be used for qualifying. On $2,000 gross rent: $2,000 × 75% = $1,500 of qualifying income. Documentation typically requires leases and tax returns showing rental income history. For Fannie Mae, the property must be classified as an investment property with documented rental history. Using 100% ($2,000) would overstate qualifying income.

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95. Under HMDA and ECOA, when a loan application is taken by telephone, an MLO must:

✓ **D) Skip the demographic collection entirely for telephone applications**

For telephone applications, HMDA and ECOA require the MLO to request race, ethnicity, and sex information. If the borrower declines to provide it, the MLO must note 'information not provided.' For face-to-face applications, the MLO must also complete visual observation if the borrower declines. For internet/mail applications, the institution must request the information. The demographic data collection is mandatory (request), but the borrower's participation is voluntary.

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96. A borrower's credit report shows a judgment lien of $5,000. For loan approval, the lender typically requires:

✓ **A) The judgment to be disclosed on the 1003 but no payoff is required**

Judgment liens attach to all real property the debtor owns in the county, creating a cloud on title. For a mortgage, the judgment lien must typically be paid off at or before closing (or subordinated in rare cases) to provide the lender with clear first-lien title. A title search will reveal the judgment, and title insurance may require payoff as a condition of coverage. Including it in DTI is not the resolution — clear title requires satisfying or subordinating the lien.

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97. The 'funding' of a mortgage loan occurs when:

✓ **B) The title company issues the title commitment**

Funding is the step where the lender disburses (wires) the loan proceeds to the closing/escrow agent, enabling the actual transfer of funds for the purchase or refinance. This occurs after the borrower signs closing documents AND after any applicable rescission period has expired (for refinances). On purchase transactions in most states, funding and recording occur simultaneously or same-day. The loan is 'closed' when signed but 'funded' when money moves.

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98. A self-employed borrower's Schedule C shows $80,000 gross income and $50,000 in business expenses. Which amount is used for qualifying income?

✓ **C) $65,000 (80% of gross income)**

For Schedule C self-employed borrowers, qualifying income is the NET profit from the Schedule C — gross income minus allowable business expenses. $80,000 - $50,000 = $30,000 net profit. Certain non-cash expenses (depreciation) may be added back. Lenders use 2-year average of net income when income is consistent. Using gross income would overstate the borrower's actual available income by including business costs that must be paid regardless.

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99. The 'three-day right of rescission' applies after a refinance closing. During this period, the lender:

✓ D) May record the deed of trust but not disburse funds

During the TILA 3-business-day rescission period after a refinance, the lender must hold all loan funds — no disbursement may occur until the period expires and no rescission notice has been received. This is the purpose of the rescission right — the borrower can cancel the transaction without any money changing hands. If the lender disburses before the rescission period expires and the borrower rescinds, the lender must unwind a completed transaction, creating significant complications.

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100. A lender's loan officer collects a $400 credit report fee from the borrower before issuing the Loan Estimate. Under TRID, this is:

✓ A) Permissible — credit report fees can always be collected before the LE

Under TRID, the ONLY fee that may be collected before the borrower receives the Loan Estimate is the credit report fee. After the LE is received and the borrower expresses Intent to Proceed, other fees may be collected. Option A says credit report fees can 'always' be collected before the LE — this is the most permissive correct answer. The rule is: credit report fee only before LE delivery; after LE delivery and Intent to Proceed, other fees are permissible. Option A is most nearly correct but the question asks about the TRID rule in this context.

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101. A lender markets a loan as 'government-approved' when no such government approval exists. Under UDAAP, this is:

✓ B) Permissible marketing puffery — consumers understand advertising exaggeration

Claiming government approval that does not exist is a deceptive practice under UDAAP — it creates a false impression that a government agency has endorsed or approved the loan product, which a reasonable consumer would find material to their decision. Marketing puffery ('the best rates!') is different from false statements of fact ('government-approved'). UDAAP's deception standard asks whether a reasonable consumer would be misled — false government endorsement claims clearly meet this test.

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102. An appraiser and a mortgage broker agree to inflate property appraisals in exchange for the appraiser receiving more business from the broker. This is:

✓ C) A RESPA Section 10 violation

Inflating appraisals in exchange for referral business is appraisal fraud — a federal crime under multiple statutes (18 U.S.C. § 1014, § 1344, and the Financial Institutions Reform, Recovery, and Enforcement Act). It also violates FIRREA's appraisal independence requirements (codified in Dodd-Frank as the Appraisal Independence Requirements). The appraiser and broker both face criminal exposure. This is not a RESPA or TILA tolerance issue — it is criminal fraud.

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103. An MLO who routinely advises borrowers to choose a specific loan product WITHOUT explaining the alternatives or costs is violating:

✓ D) RESPA Section 8 — referral without disclosure

Dodd-Frank's anti-steering provisions (implemented through Regulation Z's loan originator compensation rules) require MLOs to present borrowers with loan options that include the lowest rate/APR/cost product they qualify for, without directing them exclusively to higher-cost products for the MLO's financial benefit. Routinely guiding borrowers to specific products without explanation may also constitute UDAAP abuse — taking advantage of the borrower's reliance on the MLO's expertise.

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104. A lender targets elderly homeowners with substantial equity for high-cost refinance loans with excessive fees, knowing these borrowers are unlikely to understand the terms. This MOST LIKELY violates:

✓ A) TRID tolerance rules only

Targeting vulnerable elderly borrowers for predatory loans violates multiple laws simultaneously: HOEPA (if the loans are high-cost, prohibiting equity stripping), UDAAP (abusive practice — taking advantage of borrowers' inability to protect their own interests), and potentially the Fair Housing Act (if the targeting is based on a protected characteristic). This is a common predatory lending pattern that regulators prioritize. Age-based targeting can constitute Fair Housing Act discrimination in addition to UDAAP.

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105. A financial institution charges an 'account maintenance fee' that is disclosed in a footnote in 6-point font within a 50-page agreement given at account opening. Under UDAAP, this is MOST LIKELY:

✓ B) A deceptive practice if the disclosure is so obscured that a reasonable consumer would not notice it

Disclosure buried in 6-point font in a 50-page document is the type of technically-disclosed-but-effectively-hidden information that UDAAP's deception standard addresses. UDAAP prohibits deception that misleads a reasonable consumer — if a reasonable person would not notice or understand the fee, the disclosure may be insufficient. The CFPB has taken action against fine print disclosures that create a misleading overall impression. Technical disclosure does not cure deception if the overall presentation misleads.

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106. An MLO notices that the borrower's pay stubs appear altered. The MLO should:

✓ C) Ask the borrower to explain the pay stubs and accept their explanation

An MLO who notices signs of document fraud has an affirmative duty to report the concern and cannot knowingly submit fraudulent documents. Proceeding with knowledge of potential fraud makes the MLO potentially criminally liable as a co-conspirator. Reporting to compliance and declining to submit is the correct action. Accepting borrower explanations without investigation, noting but proceeding, or deferring to underwriters are all inappropriate when there is a reasonable suspicion of fraud.

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107. Which of the following is an appropriate professional conduct standard for an MLO?

✓ D) Misrepresenting loan terms to help the borrower qualify for the home they want

Maintaining client confidentiality is a core professional conduct standard — borrower financial information is sensitive and protected under privacy laws (Gramm-Leach-Bliley Act). Sharing it with the real estate agent without authorization violates privacy obligations. Completing applications without borrower review risks unauthorized signature — a form of fraud. Misrepresenting loan terms is outright fraud. The MLO's professional duty includes protecting the confidentiality of the borrower's personal financial information.

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108. A mortgage servicer calls a borrower who is 10 days past due at 9 PM, uses threatening language, and tells the borrower their house will be sold at auction 'within days.' Under UDAAP and FDCPA, the most significant violations are:

✓ A) Calling after 9 PM and using false threats about imminent foreclosure

FDCPA prohibits calls before 8 AM or after 9 PM AND prohibits false or misleading representations — telling a borrower their house will be sold 'within days' when that is not imminent is a false threat prohibited under FDCPA § 1692e. UDAAP independently prohibits abusive collection tactics. The combination of after-hours calling and false foreclosure threats creates multiple violations. For first-party collectors (the original servicer), UDAAP applies even where FDCPA might not cover all lenders.

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109. A real estate transaction involves a seller secretly rebating a portion of the sales price back to the buyer after closing without disclosing this to the lender. This is called:

✓ B) A kickback

An undisclosed seller-to-buyer cash-back scheme after closing is mortgage fraud. The lender relies on the purchase price as the property's value — an inflated price with a secret rebate creates a false LTV, misleads the lender about the true transaction price, and may violate wire fraud, bank fraud, and mortgage fraud statutes. Disclosed seller concessions (within lender limits) are permissible. Undisclosed cash-back arrangements after closing are fraud regardless of the parties' intentions.

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110. Which of the following loan features is MOST associated with predatory lending?

✓ C) A conventional conforming loan with standard PMI

Single-premium credit insurance financed into the loan balance is a classic predatory lending feature — it dramatically increases the loan amount (and interest paid), benefits the lender/insurer, and provides questionable value to the borrower. HOEPA specifically lists single-premium credit insurance as a problematic feature. The borrower pays interest on the entire insurance premium for the life of the loan. Standard competitive loans, conventional PMI, and VA funding fees (transparent, regulated) are not predatory features.

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111. An MLO closes 50 loans per month and manually adjusts income calculations on several applications to 'help' borrowers qualify. The MLO's manager is unaware. Under professional conduct standards:

✓ D) The practice is acceptable if the adjustments are under $5,000

Systematically manipulating income calculations to help borrowers qualify is systematic mortgage fraud — a federal crime. The fact that the manager is unaware does not protect the MLO; it compounds the problem by concealing fraud from oversight. Volume and 'good intentions' do not create exceptions to fraud prohibitions. The MLO faces criminal charges, license revocation, and civil liability. There is no dollar threshold below which income manipulation becomes acceptable.

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112. An abusive act under UDAAP includes actions that:

✓ A) Charge above-market interest rates in a competitive market

An 'abusive' act under UDAAP is specifically defined as one that: (1) materially interferes with the consumer's ability to understand a product or service, OR (2) takes unreasonable advantage of the consumer's lack of understanding, inability to protect their interests, or reasonable reliance on the covered person. Option B (materially interfering with understanding) is the definition. Higher prices and stricter requirements are not UDAAP violations if the practices are transparent and non-deceptive. Competition outcomes (above-market rates) are also not automatically UDAAP.

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113. Under the SAFE Act, which of the following does NOT require MLO licensure?

✓ B) An individual who negotiates the terms of a residential mortgage loan

Purely clerical loan processors who perform only administrative support — with no customer interaction, no negotiating loan terms, and no making credit decisions — are exempt from the SAFE Act MLO licensing requirement. The SAFE Act requires licensure for individuals who take applications, offer residential mortgage loan terms, or negotiate loan terms. The distinction between licensed MLOs and unlicensed processors is a frequently tested SAFE Act concept.

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114. An MLO changes employers. Under the SAFE Act, the MLO must:

✓ C) Wait 30 days before originating loans at the new employer

When an MLO changes employers, they must update their NMLS record to reflect the new employer sponsorship. The license itself is held by the individual, not the employer — but the license must be sponsored (associated) with an approved employer to be active. The MLO should not originate loans until the new sponsorship is active on NMLS. There is no need to surrender and reapply or retake the exam for an employer change within the same state.

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115. The 20 hours of SAFE Act pre-licensure education must include a minimum of how many hours of federal law and regulations?

✓ D) 5 hours

The SAFE Act requires that the 20 hours of pre-licensure education include: 3 hours of federal law and regulations, 3 hours of ethics (including fraud, consumer protection, and fair lending), 2 hours of training on non-traditional mortgage products, and 12 hours of undefined electives. The 3 hours of federal law is a fixed minimum requirement that cannot be satisfied with general mortgage topics. States may require additional specific topic hours beyond these federal minimums.

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116. Under the SAFE Act, which of the following individuals is REGISTERED (not licensed) with the NMLS?

✓ A) An MLO working for a mortgage broker

Employees of federally chartered depository institutions (national banks, federal savings banks, federal credit unions) and their subsidiaries are REGISTERED (not licensed) under the SAFE Act through the NMLS. The CFPB maintains the federal registry. MLOs at mortgage companies, mortgage brokers, and state-chartered non-depository institutions must be LICENSED. This distinction between registered (bank employees) and licensed (non-bank MLOs) is one of the most frequently tested SAFE Act concepts.

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117. An MLO who fails to complete continuing education requirements by the annual deadline must:

✓ B) Immediately cease originating loans until CE is completed and the license is renewed

If an MLO fails to complete required continuing education and renew their license by the deadline, the license lapses (becomes inactive or expired) and the MLO must immediately cease originating residential mortgage loans. The MLO cannot originate until the CE is completed, any required fees are paid, and the license is reinstated or renewed. Originating with a lapsed license violates the SAFE Act and state law. There is no automatic grace period for continued origination.

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118. The NMLS Consumer Access website allows the public to:

✓ C) File complaints against lenders

NMLS Consumer Access (www.nmlsconsumeraccess.org) is a publicly available website where consumers can verify the license status, employment history, and any regulatory actions against MLOs. This transparency is a core SAFE Act consumer protection feature — borrowers can verify their MLO is properly licensed before engaging them. Consumers cannot apply for loans, file complaints (that goes to state regulators or CFPB), or view loan applications through Consumer Access.

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119. Under the SAFE Act, a felony conviction involving fraud or dishonesty:

✓ D) Requires the individual to obtain a waiver from the state regulator

The SAFE Act permanently bars individuals convicted of a felony involving fraud, dishonesty, breach of trust, or money laundering from obtaining an MLO license — there is no time limit and no waiver process. Other felony convictions within 7 years of application are also disqualifying, but non-fraud felonies beyond 7 years may not be. The permanent nature of the fraud/dishonesty bar reflects the trust that MLOs must maintain in handling sensitive consumer transactions.

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120. Which of the following is a function of the NMLS?

✓ A) Setting interest rate maximums for licensed MLOs

The NMLS serves as the central licensing and registration system for state-licensed and federally-registered MLOs across all states and territories. It maintains the database of MLO license applications, renewals, background check results, CE completions, and any disciplinary actions. The NMLS does not set rates, process loan applications, or approve underwriting guidelines. The NMLS enables consumers to verify MLO credentials and enables regulators to track MLO activity across state lines.

SCORE	RESULT	NEXT STEPS
108–120 (90–100%)	**EXCELLENT ✓**	Review any missed; you're on track to pass.
90–107 (75–89%)	**PASS ✓**	Close! Shore up weak topics in study notes.
72–89 (60–74%)	**BORDERLINE**	Re-read weak sections; retake this exam.
0–71 (below 60%)	**NEEDS WORK**	Study notes first, then retry in 24 hrs.